NOMURA

Global Markets Research

7 October 2026

ACM Research ACMR.OQ ACMR US

EQUITY: TECHNOLOGY

Cleaning pioneer expanding footprint

Prominent market share in cleaning and electroplating; expanding business in furnace, track, PECVD

Resuming coverage of ACM Research with a Buy rating and a target price of USD118.00

We resume coverage of ACM Research (ACMR) with a Buy rating. Our target price of USD118.00 is based on 6.0x forward EV/sales and our 2027F sales revenue forecast. We believe the stock is now trading at a discount to local peers and deserves a higher valuation because: (1) ACMR has been trading at a discount relative to its A-share listed subsidiary ACM Shanghai (688082 CH, Not rated); (2) its faster-than-industry sales growth; (3) strong cleaning and electro-chemical plating (ECP) equipment capabilities among domestic vendors; and (4) China's memory and advanced process fab capacity expansion, as well as rising demand for advanced packaging. Over 2025-28F, we forecast a revenue CAGR of ~28%, with ACMR delivering revenue of ~USD1.88bn in 2028F, and a net profit CAGR of ~42%. **Key risks** include concerns about an escalation of US sanctions (impacting domestic fab capacity expansion), a slowdown in fab capex, intensifying competition, and slower-than-expected new product ramp-up.

Specialties expanding from cleaning and ECP to more areas

Currently, ACMR is the No.1 domestic supplier of wafer-cleaning equipment in China (~30% market share in China, by our estimate) and global No.4 in cleaning (~8% share, according to Gartner); it is also the No.2 global supplier of electro-chemical plating (ECP) equipment (~10% share, according to Gartner). In addition, ACMR is also expanding footprint as a wafer fab equipment (WFE) platform company with product offering expanding into furnace, track (coat/develop) and plasma-enhanced chemical vapor deposition (PECVD) tools. Its 1H26 new orders grew 105% y-y, with memory customers representing more than 50% of the backlog.

Localization, process complexity, advanced packaging, platform transition key positives

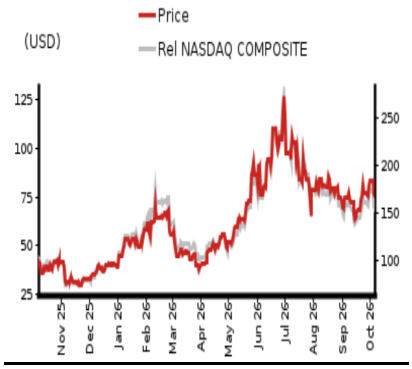
We estimate the China WFE market will grow by ~27% y-y to USD55.4bn in 2026F, and to USD103.5bn in 2030F. We expect YMTC (unlisted) and CXMT (688825 CH, Buy) to continue to expand and ramp up fab capacity, creating potentially visible upside. With node migration and memory process advancement, cleaning steps increase. Historically, cleaning has taken up ~7% of fab capex, but management sees this ratio drifting toward ~10% at advanced nodes. In addition, the ECP segment is now rapidly growing. It specifically benefits from advanced packaging development and 3D integration, which requires more electroplating. Apart from expertise in cleaning and ECP, ACMR also has deployment in furnace, track, and PECVD tools. We expect track and PECVD to start contributing revenue from 2027E. The company targets long-term revenue of >USD4.0bn (China USD2.5bn, overseas USD1.5bn), with market share increase across product categories.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (USD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	901	0	1,161	0	1,490	0	1,883
Reported net profit (mn)	94	0	167	0	205	0	271
Normalised net profit (mn)	94	0	167	0	205	0	271
FD normalised EPS	1.40		2.32		2.78		3.69
FD norm. EPS growth (%)	-10.7		65.8		20.0		32.5
FD normalised P/E (x)	57.9	–	34.9	–	29.1	–	22.0
EV/EBITDA (x)	172.8	–	100.1	–	74.8	–	57.5
Price/book (x)	3.6	–	3.0	–	2.7	–	2.4
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	7.9		10.0		10.3		12.2
Net debt/equity (%)	net cash		net cash		net cash		net cash

Source: Company data, Nomura estimates

Rating From Suspended	**Buy**
Target price From N/A	**USD 118.00**
Closing price 30 September 2026	**USD 80.92**
Implied upside	**+45.8%**
Market Cap (USD mn)	5,636.0
ADT (USD mn)	89.9

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on ACM Research

Performance

(%)	1M	3M	12M		
Absolute (USD)	11.1	-36.2	106.8	M cap (USDmn)	5,636.0
Absolute (USD)	11.1	-36.2	106.8	Free float (%)	52.0
Rel to NASDAQ COMPOSITE	9.3	-38.7	88.3	3-mth ADT (USDmn)	89.9

Income statement (USDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	782	901	1,161	1,490	1,883
Cost of goods sold	-391	-501	-631	-792	-984
Gross profit	392	400	531	698	899
SG&A	-241	-291	-358	-457	-572
Employee share expense					
Operating profit	151	109	172	241	326
EBITDA	161	126	196	272	363
Depreciation	-7	-14	-21	-28	-33
Amortisation	-3	-2	-3	-3	-3
EBIT	151	109	172	241	326
Net interest expense	6	8	17	17	17
Associates & JCEs	0	10	40	45	50
Other income	9	8	50	30	25
Earnings before tax	166	135	279	333	418
Income tax	-35	-13	-42	-53	-67
Net profit after tax	131	122	237	280	351
Minority interests	-28	-28	-70	-75	-80
Other items					
Preferred dividends					
Normalised NPAT	104	94	167	205	271
Extraordinary items					
Reported NPAT	104	94	167	205	271
Dividends	0	0	0	0	0
Transfer to reserves	104	94	167	205	271
Valuations and ratios					
Reported P/E (x)	48.6	55.2	33.0	27.5	20.8
Normalised P/E (x)	48.6	55.2	33.0	27.5	20.8
FD normalised P/E (x)	51.7	57.9	34.9	29.1	22.0
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	35.2	–	–	160.1	53.3
Price/book (x)	5.6	3.6	3.0	2.7	2.4
EV/EBITDA (x)	145.5	172.8	100.1	74.8	57.5
EV/EBIT (x)	155.1	196.4	111.2	82.9	63.1
Gross margin (%)	50.1	44.4	45.7	46.8	47.7
EBITDA margin (%)	20.6	14.0	16.9	18.3	19.3
EBIT margin (%)	19.3	12.1	14.8	16.2	17.3
Net margin (%)	13.2	10.4	14.4	13.7	14.4
Effective tax rate (%)	21.1	9.8	15.0	16.0	16.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	12.4	7.9	10.0	10.3	12.2
ROA (pretax %)	35.7	6.7	8.9	9.9	11.4
Growth (%)					
Revenue	40.2	15.2	28.9	28.3	26.3
EBITDA	54.9	-21.9	55.7	39.1	33.3
Normalised EPS	29.6	-12.0	67.3	20.0	32.5
Normalised FDEPS	31.2	-10.7	65.8	20.0	32.5

Source: Company data, Nomura estimates

Cashflow statement (USDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	161	126	196	272	363
Change in working capital	-110	-510	-253	-195	-198
Other operating cashflow	102	374	-20	-40	-53
Cashflow from operations	152	-10	-78	37	112
Capital expenditure	-86	-58	-149	-114	-84
Free cashflow	67	-68	-227	-77	28
Reduction in investments	-18	2	8	45	39
Net acquisitions	0	0	0	0	0
Dec in other LT assets	29	11	-10	-11	-12
Inc in other LT liabilities	3	4	5	3	3
Adjustments	59	-349	-37	-18	-19
CF after investing acts	140	-401	-261	-58	40
Cash dividends	0	0	0	0	0
Equity issue	0	0	0	0	0
Debt issue	88	99	0	0	0
Convertible debt issue					
Others	-1	656	249	1	2
CF from financial acts	88	755	249	1	2
Net cashflow	228	355	-12	-57	41
Beginning cash	183	411	766	754	697
Ending cash	411	766	754	697	738
Ending net debt	-228	-478	-466	-409	-450

Balance sheet (USDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	411	766	754	697	738
Marketable securities	19	36	107	113	118
Accounts receivable	387	504	609	779	872
Inventories	598	703	853	949	1,127
Other current assets	68	428	492	517	544
Total current assets	1,483	2,437	2,815	3,055	3,399
LT investments	37	66	106	151	201
Fixed assets	269	315	439	521	567
Goodwill					
Other intangible assets	3	3	4	5	6
Other LT assets	63	52	62	73	85
Total assets	1,856	2,872	3,427	3,805	4,259
Short-term debt	77	109	109	109	109
Accounts payable	139	215	251	313	377
Other current liabilities	425	421	451	485	520
Total current liabilities	641	746	812	907	1,007
Long-term debt	106	179	179	179	179
Convertible debt					
Other LT liabilities	13	17	22	25	28
Total liabilities	760	942	1,013	1,111	1,214
Minority interest	191	466	536	611	691
Preferred stock					
Common stock	0	0	0	0	0
Retained earnings	260	350	501	685	930
Proposed dividends					
Other equity and reserves	645	1,114	1,377	1,397	1,425
Total shareholders' equity	905	1,464	1,878	2,083	2,354
Total equity & liabilities	1,856	2,872	3,427	3,805	4,259
Liquidity (x)					
Current ratio	2.31	3.27	3.47	3.37	3.38
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (USD)	1.67	1.47	2.45	2.94	3.90
Norm EPS (USD)	1.67	1.47	2.45	2.94	3.90
FD norm EPS (USD)	1.56	1.40	2.32	2.78	3.69
BVPS (USD)	14.33	22.28	26.97	29.91	33.80
DPS (USD)	0.00	0.00	0.00	0.00	0.00
Activity (days)					
Days receivable	156.4	180.5	175.0	170.0	160.4
Days inventory	534.3	473.5	450.0	415.0	386.1
Days payable	131.4	129.2	135.0	130.0	128.4
Cash cycle	559.3	524.9	490.0	455.0	418.1

Source: Company data, Nomura estimates

Company profile

ACM Research (ACMR US) is a Delaware holding company that directly holds its Chinese operating subsidiary ACM Research (Shanghai), Inc. Its a global supplier of semiconductor wafer fab equipment used in IC manufacutring, covering cleaning, electroplating, advanced packaging, furnace, and also expanding into new areas like track and PECVD. Because ACM Shanghai is the source of essentially all of ACMR's revenue, ACMR's U.S. GAAP financials consolidate 100% of the subsidiary and deduct a ~27% minority interest to reach attributable net income. Ownership has been diluted repeatedly: from ~91.7% pre-IPO (2021), to ~82.5% after the November-2021 STAR IPO, to 73.12% after the September-2025 RMB 4.5bn private placement.

Valuation Methodology

Our target price of USD118.00 is based on 6.0x forward EV/Sales multiple, and our 2027F revenue forecasts. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referrible. The benchmark index is the Nasdaq.

Risks that may impede the achievement of the target price

Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for ACM Research; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

ESG

ACM Research frames ESG around its proprietary, lower-chemical process technologies, which are themselves environmental products. Its flagship Ultra C Tahoe hybrid cleaning platform combines batch and single-wafer SPM cleaning in one tool and cuts sulfuric-acid consumption by up to 75% versus single-wafer SPM, saving customers up to ~US$500k per year in acid alone while lowering hazardous waste. Its SAPS cleaner cuts ammonia use ~99.9% (~50 tCO2e per tool per year). In 2025 ACM Shanghai established a board-level ESG committee and completed GHG inventories across all sites; it filed its inaugural CDP Climate disclosure in 2024, holds ISO 14001 / ISO 9001, and targets a 75% pure-water purification rate by 2030. Circular-economy efforts recovered 2,800 kg of plastic and 1,200 kg of wooden crates in 2024, and 2025 environmental CAPEX rose ~245% YoY to RMB 4.53m with 100% compliant waste treatment. Third-party analyses cite a Scope 1 & 2 cut of 30% by 2030 (vs a 2022 base) and a 2050 net-zero ambition, though these are not yet formalized in the company’s own reporting. 2025 R&D reached RMB 1.25bn (18.5% of revenue), with 1,228 R&D staff (49.4% of headcount) and 447 patent filings; an ESOP covered 562 employees. The workforce totals 2,485 with 94.5% training coverage, though female representation (15.0%) is below the 16% 2030 goal and 15 minor-injury incidents in 2025 exceeded target, partly tied to a new campus ramp. Community spend was RMB 0.26m in donations and RMB 0.25m in rural-revitalization. The board is majority-independent with an independent Lead Director, standing audit / compensation / nominating committees, a Code of Business Conduct, whistleblower channels, and anti-hedging / anti-pledging policies; the board oversees enterprise risk.

Investment summary

ACM Research (ACMR), founded in Silicon Valley in the US in 1998 by David Wang, is a prominent supplier in the field of wafer fab equipment, focusing on cleaning tools and electroplating tools, with product coverage expanding into other fields such as furnaces, tracks, and PECVD. ACM Research has moved its operating focus back to Shanghai, with its subsidiary ACM Research (Shanghai) (ACMSH) currently contributing the major operation, research and development, and technology know-how for ACMR.

Currently, ACMR is the No.1 domestic supplier of wafer-cleaning equipment in China (~30% market share in China, by our estimate) and global No.4 in cleaning (~8% share, according to Gartner); it is also the No.2 global supplier of electro-chemical plating (ECP) equipment (~10% share, according to Gartner). In addition, ACMR is also expanding its footprint as a WFE platform company, with product offerings expanding into furnace, track (coat/develop) and PECVD tools. The company's 1H26 new orders grew 105% y-y, with memory customers representing more than 50% of the backlog.

Major positives for ACM Research:

- **Process complexity is structurally raising cleaning intensity.** With node migration and memory process advancement, not only do etching and deposition steps increase, but also cleaning steps. HBM-class devices require 600 to 1,200 cleaning steps per wafer (vs 200 to 400 for planar DRAM/logic); 3D NAND layer scaling lifts cleaning process runs from 7 (32L) to 20 (128L); and GAA/backside-power architectures add wet steps at each node. Historically, cleaning has taken up ~7% of fab capex, but management sees this ratio drifting toward ~10% at advanced nodes.

- **ECP quickly growing.** The 2,000th ECP chamber shipped in 2Q26 (500th in 2022; 1,500th in 2025). Revenue from the "ECP, furnace, other" line grew 168% y-y in 2Q26 to ~44% of revenue. This segment specifically benefits from advanced packaging development and 3D integration, which requires more electroplating processes. China's HBM/advanced-packaging build-out suggests improved order potential for ACMR.

- **Aggressive capacity expansion and technology advancement from China's memory makers.** We estimate the China WFE market will grow by ~27% to USD55.4bn in 2026F, and to USD103.5bn in 2030F. We expect YMTC and CXMT to continue to expand and ramp up fab capacity, which potentially creating visible upside for China's WFE vendors. The localization rate is still low, at around 40-50% in cleaning tools. We expect the localization rate to keep increasing, as domestic vendors' supply share has already been over 50% in some newly built fabs.

- **A platform transition.** Apart from expertise in cleaning and ECP, ACMR also has deployment in advanced packaging, furnace, track, and PECVD tools. Advanced packaging contributed ~5% of revenue in 2025. According to the company, track and PECVD are expected to start contributing revenue from 2027E. The company targets long-term revenue of >USD4.0bn (China USD2.5bn, overseas USD1.5bn), with market share increase across product categories.

Financially, we forecast ACM Research to clock a ~28% revenue CAGR over 2025-28F, driven mainly by the fast-growing "ECP, furnace and other" category. We expect net profit to record a ~42% CAGR over 2025-28F, with margin recovery likely to be driven by product-mix changes (ECP has higher margins). On a non-GAAP basis, we expect the company to post a net profit CAGR of ~39% over 2025-28F.

From another angle, ACMR consolidates ~73.1% of its Chinese subsidiary ACMSH (688082 CH, A-share market cap ~CNY130bn, around USD19bn, as of 25 Sep 2026), but trades at a market capitalization that covers only ~38% of the value of ACMSH's market cap, implying a holding company discount of ~62%.

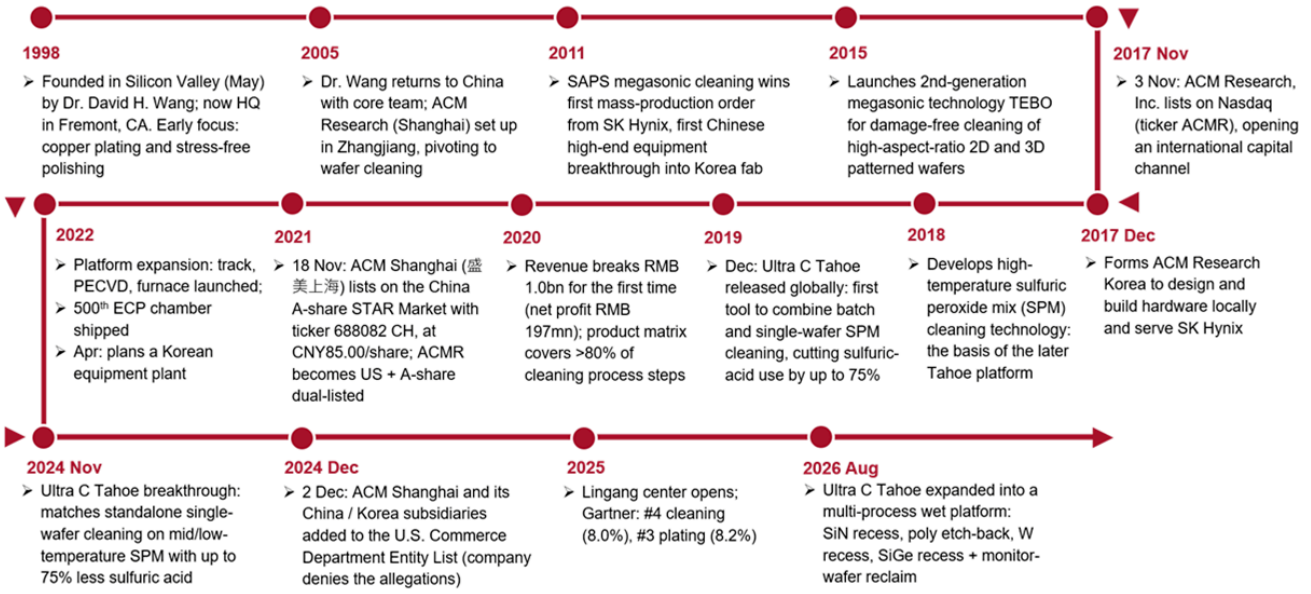
We resume coverage of ACM Research with a **Buy rating**. Our target price of **USD118.00** is based on a target multiple of 6.0x forward EV/sales, and our total 2027F revenue of USD1.5bn. We believe ACM Research is now trading at a discount to its local peers and deserves a higher valuation given: (1) ACMR is trading at a discount relative to its A-share listed subsidiary ACM Shanghai; (2) we expect the company's sales growth rate to be higher than that of the industry average; (3) ACMR has top-level cleaning and

ECP equipment among domestic vendors, with prominent domestic market shares; (4) China's memory and advanced process fab capacity expansion, as well as the rising demand for advanced packaging, suggest greater need for cleaning and ECP tools.

Company overview: Cleaning Pioneer from Silicon Valley

ACM Research, Inc. (ACMR) was founded in January 1998 by David H. Wang in Fremont, California, with an original technology of stress-free copper polishing (SFP) aimed at replacing chemical-mechanical planarization (CMP). The company pivoted to single-wafer cleaning in 2007, established ACM Research (Shanghai) (ACMSH) in 2005 under Shanghai's "S&T to Revitalize the City" program, and moved substantially all operations to China. Two original wet-process innovations, namely SAPS (space-alternated phase-shift megasonic cleaning, developed ~2009) and TEBO (timely energized bubble oscillation, validated on 3D NAND structures from 2015), won ACMR its first major customer, SK Hynix (000660 KS, Buy; ramping up from around 2011-13), and later penetrated into key Chinese customers, including YMTC (unlisted), SMIC (981 HK, Neutral) and HLMC (unlisted).

Fig. 1: ACM Research corporate history

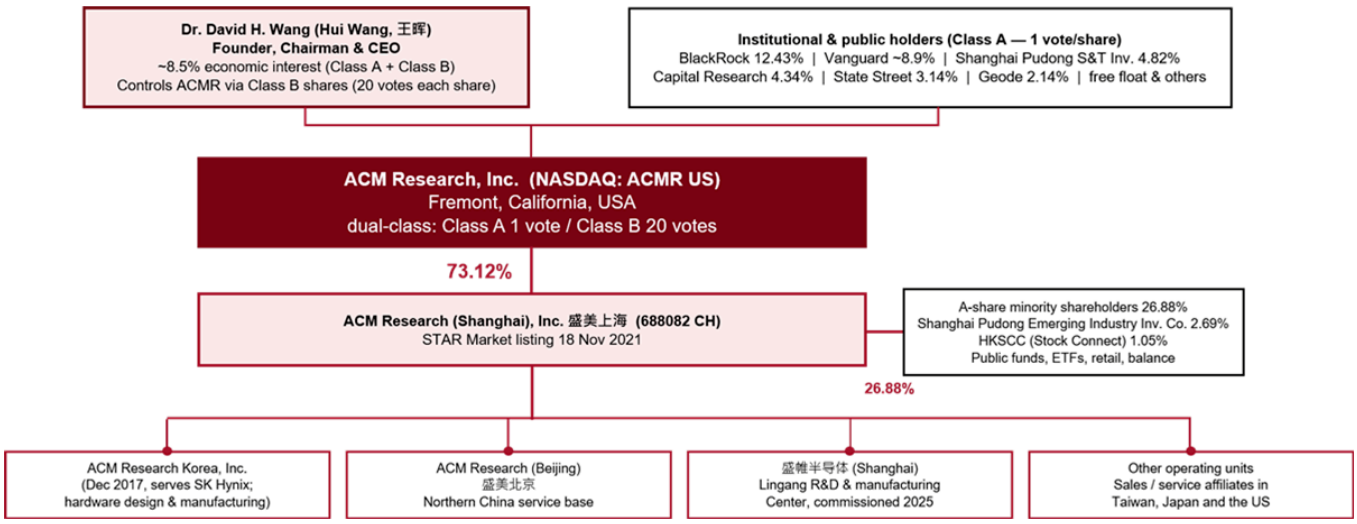


Source: Company data, Nomura research

ACMR is a Delaware-registered holding company that directly holds its Chinese operating subsidiary ACMSH. As of 30 June 2026, ACMR held around 73.12% of ACMSH, with the balance held by Pudong New Area emerging-industry investment (2.69%) and widely dispersed funds/ETF/HK-connect holders. Because ACMSH is the source of essentially all of ACMR's revenue, ACMR's US GAAP financials consolidate 100% of the subsidiary and deduct a ~27% minority interest to reach attributable net income.

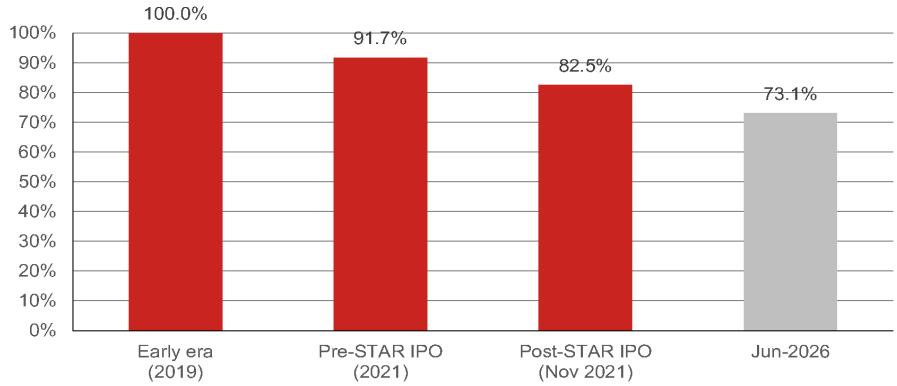
Ownership has been diluted repeatedly: from ~91.7% pre-IPO (2021), to ~82.5% after the November 2021 STAR IPO, to ~73.12% after the September 2025 CNY4.5bn private placement, a recurring-dilution pattern that is one driver of the persistent discount of the parent's equity to the value of its stake.

Fig. 2: ACM Research shareholding structure (as of Jun 2026)



Source: Company data, Nomura research

Fig. 3: ACM Research shareholding dilution on ACMSH

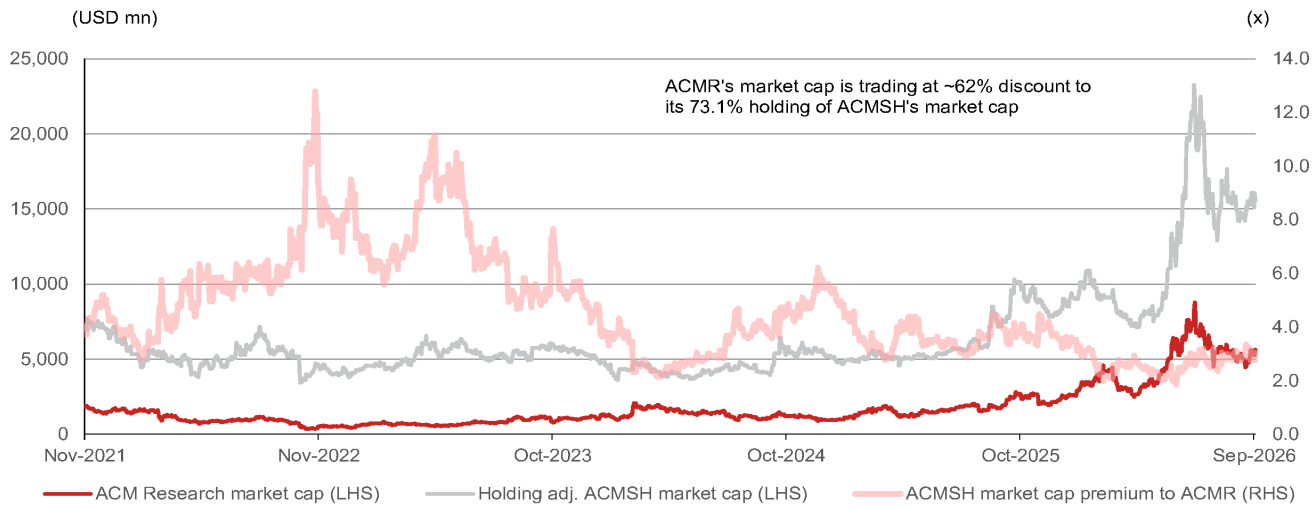


Source: Company data, Nomura research

The parent/subsidiary value gap is quite significant. ACM Shanghai's A-share market cap was ~USD130bn, of which ACMR's 73.1% stake is worth ~CNY95bn, equivalent to ~USD14bn. ACMR's own market cap of ~USD5.4bn therefore covers only ~38% of its stake, implying a holding company discount of ~62%. Historically, the gap has been narrowing, from ~70% (2025), to ~65% (early 2026), and to ~61%, which indicates ACMR's outperformance vs ACMSH.

We attribute the holding company discount to: (1) no dividends or buybacks at ACMR level, so US holders cannot directly harvest ACMSH value; (2) dual-class share structure (Class B equivalent to 20 votes); (3) CNY to USD conversion friction and China regulatory risk; and (4) constant shareholding dilution.

Fig. 4: ACMR market cap vs ACMSH market cap (holding adjusted) since ACMSH IPO

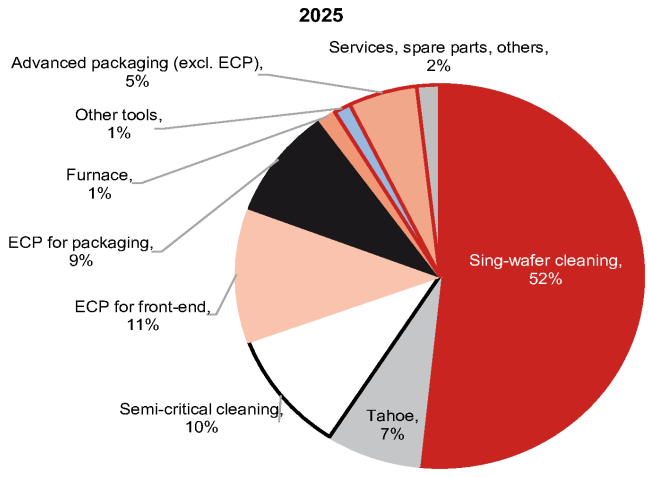


Source: Bloomberg Finance L.P., Nomura research

Business segments and product portfolio

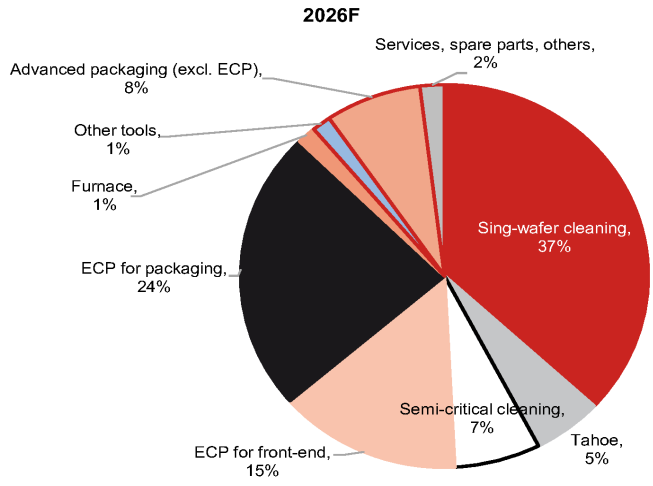
ACM Research reports revenue in three major segments: (1) cleaning equipment (single-wafer, Tahoe and semi-critical), (2) electro-chemical plating (ECP), furnace and other, (3) advanced packaging (excluding ECP) and services and spares. Revenue from the ECP and furnace segment has been growing at a faster pace than cleaning since 2024 (growth rates of 46% and 32% in 2024 and 2025, respectively), with advanced packaging catching up in 2025 (growth rate of 45%). Though cleaning has been underperforming other segments, and 1H26 saw sales decline, management attributed the decline to customer acceptance timing, and expects recovery from 2H26E.

Fig. 5: ACM Research revenue split estimate (2025F)



Source: Company data, Nomura estimates

Fig. 6: ACM Research revenue split estimate (2026F)



Source: Company data, Nomura estimates

Fig. 7: ACM Research product offerings and key applications

Product Line / Category	Key Technology / Differentiation	Application	Competitive Position / Market Share	Status (Mass Production / Qualification / R&D)
Single-Wafer Cleaning SAPS & TEBO (Ultra C)	**SAPS** (space-alternated phase-shift) megasonic removes standing-wave non-uniformity on warped wafers; **TEBO** (timely energized bubble oscillation) enables damage-free megasonic cleaning of 3D / patterned structures (FinFET, GAA, 3D NAND). Covers >95% of all cleaning process steps.	Front-end wafer cleaning for advanced logic (FinFET/GAA), DRAM and 3D NAND; cleaning intensity rises with node/HBM complexity (600-1,200 steps per HBM wafer).	Global No.4 in cleaning, ~8% market share; No.1 among Chinese domestic vendors	**Mass production**, volume shipments to multiple domestic and overseas customers since SK Hynix 50nm era; TEBO validated on 3D NAND (2015), first installed at HLMC (2017).
Hot Single-Wafer SPM Cleaning (High-Temp Sulfuric)	High-temperature sulfuric-acid / hydrogen-peroxide single-wafer strip-and-clean replacing batch tools; leading performance of <15 particles at 15nm particle size; proprietary nozzle prevents acid-mist/splash (SPCC 2026).	Photoresist strip / metal-contamination clean for GAA logic, DRAM and HBM; **SPM** is ~1/3 of the total cleaning market where ACMR yet had near-zero revenue as of 2025.	Performance leadership; the key 2026–2027 cleaning growth potentials	**Volume ramp**; shipped 1H26, >20 units expected 2026E, shipments roughly doubling in 2027E.
Tahoe Hybrid Cleaning (Single-Wafer + Batch)	One tool integrates batch SPM with single-wafer megasonic finish; cuts H2SO4 consumption by up to 75%; average single-digit particle counts at 26nm; platform extended to wet-etch and monitor-wafer reclaim.	Cost- and chemical-efficient cleaning for logic and memory fabs.	Qualified at top logic & memory customers	**Mass production qualified**, repeat orders from leading logic and memory customers.
Semi-Critical Cleaning Scrubber & Edge Wet-Etch	Semi-critical cleaning series, scrubbers, backside/solvent cleaning and edge wet-etch; 18-	Semi-critical and backside process steps across fab lines.	Part of the broadest wet-process portfolio among	**Mass production**
ECP Electroplating Front-End Copper Interconnect (Ultra ECP)	Multi-anode electrochemical plating for front-end Cu damascene interconnect; fills the domestic gap in China.	Front-end copper interconnect for logic and memory; larger dies and more interconnect layers lift plating steps.	Global No.2 in ECP, ~10% market share	**Mass production,** 2,000th cumulative ECP chamber shipped 2Q26 (500th in 2022, 1,500th in 2025)
ECP Electroplating Advanced Packaging (WLP / TSV / 3D)	Multi-anode plating for TSV, redistribution layers and large copper-pillar TIV (CoWoS-class); compound-	Wafer-level packaging, TSV metallization, 3D stacking / HBM,	CoWoS large-pillar plating solutions accepted by	**Mass production and scaling**
PLP Panel-Level Plating (Horizontal ECP)	Horizontal panel plating architecture with proprietary uniformity; 310×310mm and 510×515mm panel formats.	Panel-level packaging (PLP) for AI/HPC large packages	**Industry leadership,** among only a few vendors able to deliver multi-region / multi-customer PLP solutions.	**Early orders,** 510×515mm production order from existing China customer (to delivery 1H27E); 310×310mm evaluation order from a new Asian panel leader (to delivery 4Q26E)
Furnace (Ultra Furnace)	LPCVD, atmospheric oxidation and ALD vertical furnaces; ultra-high-temperature capability >1,250°C; PEALD in early validation.	Deposition, oxidation and anneal steps in China wafer fabs	**New entrant**	**Ramping**, LPCVD/oxidation in production at multiple China fabs, ALD furnaces in customer evaluation
PECVD (Ultra Pmax)	Proprietary SiCN chamber with 3-wafer rotary architecture (1 chamber / 3 chucks); world's first SiCN deposition tool of its kind.	Back-end IC films and advanced-packaging wafer-level bonding.	**New entrant**	**Qualification**
Track, Coater / Developer (Ultra LITH)	KrF track with 54 precision temperature-controlled hot plates, >300 WPH throughput; ArF immersion track in development.	Lithography coat / develop for KrF (ArF roadmap)	**New entrant**	**Customer evaluation,** full-flow production qualification targeted by end-2026E; ArF in R&D.
Stress-Free Polishing (SFP, Ultra SFP)	Founder-origin (1998) electrochemical stress-free copper removal, which is a CMP alternative; rated international-leading	Copper polishing for interconnect applications.	Niche product line	**In production**, copper-polishing tools continue to ship
Advanced Packaging Wet Tools & PLP Vacuum Cleaning	WLP wet-process tools (coat/develop/etch/strip/scrub) for OSATs; vacuum negative-pressure panel-level cleaning (510×515mm).	OSAT advanced packaging and panel-level packaging; China + Singapore + North America deployments.	Advanced packaging (ex-ECP) growing quickly	**Mass production**

Source: Company data, Nomura research

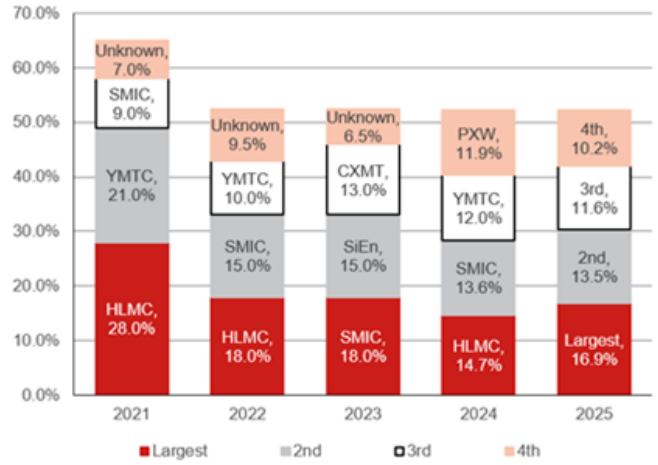
Customer base, R&D and technology roadmap

The customer base includes major mainland China wafer fabs, memory makers, IDMs, and OSATs. Most of the revenue came from foundry and logic customers, with revenue contribution of 63%/71%/59% in 2023/2024/2025. Memory makers accounted for 24%/22%/27% of the revenue in 2023/2024/2025; packaging and wafer processing accounted for 13%/7%/14%.

Important front-end customers include HLMC (unlisted; 15% revenue contribution in 2024), SMIC (981 HK, Neutral; 14% in 2024), YMTC (unlisted; 12% in 2024), Shenzhen Pengxinwei (unlisted; 12% in 2024), and others including SK Hynix (000660 KS, Buy), CXMT (688825 CH, Buy) and Silan Micro (600460 CH, Neutral). Back-end customers include SJ Semiconductor (688820 CH, Not rated), JCET (688584 CH, Buy), Tongfu Micro (002156 CH, Buy), Wafer Works (6182 TT, Not rated), and ZINGSEMI (unlisted).

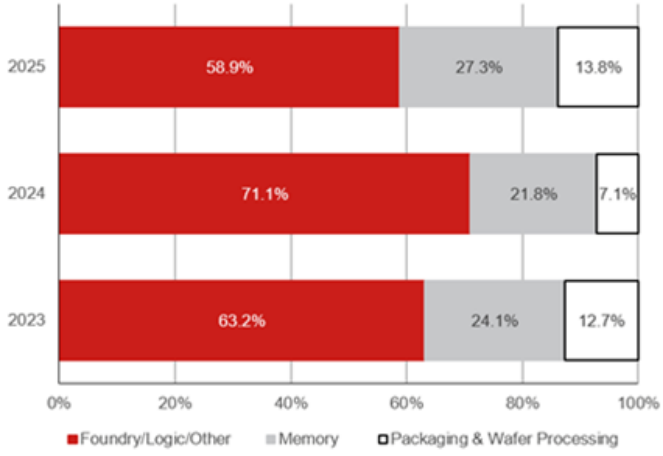
From a geographical perspective, much of its revenue still comes from mainland China, with 97.0%/99.2%/99.6% contribution in 2023/2024/2025.

Fig. 8: ACM Research revenue by customer



Source: Company data, Nomura research

Fig. 9: ACM Research revenue by customer type

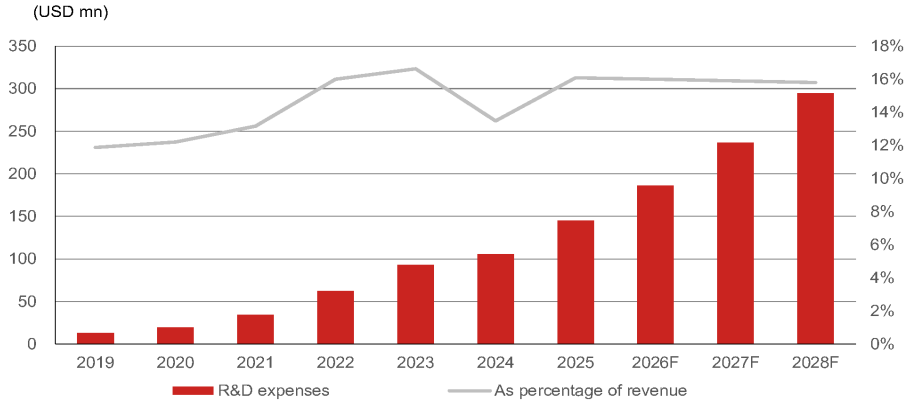


Source: Company data, Nomura research

R&D spending is key for semiconductor production equipment companies such as ACM Research. Its R&D expenses are rising faster than revenue as the company funds the track, PECVD, PLP (panel-level packaging) and furnace product push. Consolidated R&D expense reached USD145mn in 2025, representing 16.1% of revenue and +37.5% y-y (2024: USD105mn, 13.4%).

Resource commitment is visible in headcount and IP: ACMSH has 1,297 R&D staff, roughly 50% of ACM Shanghai's ~2,596 employees; 2,633 patents filed with 646 granted, of which 229 were granted in 1H26. Pipeline timing positions 2027 as the first meaningful revenue year for the new platforms: KrF Track full-flow qualification during 2026, PECVD production-readiness by end-2026, and furnace atomic-layer deposition (ALD) / Low-pressure chemical vapor deposition (LPCVD) ramping up at multiple China fabs.

Fig. 10: ACM Research R&D expense as a percentage of revenue



Source: Company data, Nomura estimates

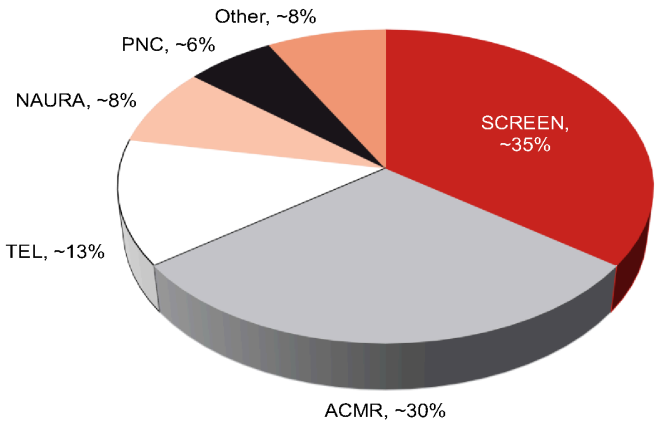
Competitive advantages and growth drivers

As a strong player in cleaning equipment and ECP tools, ACM Research is seeing opportunities not only from cleaning strength and market share expansion in China, but also from expanded addressable market by new products, and rising demand and importance of advanced packaging.

Technology innovation and differentiation in cleaning

Currently, ACM Research holds the second-largest market share in China's WFE cleaning market (~30% market share in 2025, by our estimate). Globally, ACM Research held an ~8% market share in 2025, ranking the fourth, according to Gartner.

Fig. 11: China cleaning equipment used in WFE market share estimate (2025F)



Source: Nomura estimates

The company's differentiation is on original wet-process innovation rather than catch-up imitation. **SAPS** (space-alternated phase-shift megasonic) eliminates standing-wave cleaning non-uniformity on warped wafers; **TEBO** (timely energized bubble oscillation) enables damage-free megasonic cleaning of 3D/patterned structures (FinFET, GAA, 3D NAND). **Hot single-wafer SPM** delivers leading performance of <15 particles at 15nm particle size; **Tahoe**'s single-wafer/batch hybrid cuts H_2SO_4 consumption ~75%, saving costs for fabs and protecting environment. With comprehensive product coverage, the cleaning platform covers >95% of all cleaning process steps.

Single-wafer cleaning side, ACM Research has its proprietary SAPS and TEBO technologies, instead of catching up with SCREEN and TEL roadmaps.

- **SAPS** technology employs alternating phases of megasonic waves to deliver megasonic energy to clean wafer surfaces in a highly uniform manner on a microscopic level. This enables it to remove random defects across an entire wafer much more efficiently than conventional jet spray processes. Moreover, according to the company, users of SAPS equipment have already expanded their application of ACM Research tools, adding cleaning to more processing steps to increase yields and reduce chemical usage.
- **TEBO** technology provides efficient, damage-free cleaning for both conventional 2D and 3D patterned wafers at advanced process nodes. It enables precise, multi-parameter control of bubble cavitation during megasonic cleaning by using a sequence of rapid pressure changes to force bubbles to oscillate in specific sizes and shapes. And because these bubbles oscillate instead of imploding or collapsing, TEBO technology avoids the pattern damage caused by the transient cavitation that is seen in traditional megasonic cleaning. ACM Research has already demonstrated TEBO's damage-free cleaning capabilities on patterned wafers as small as 1xnm (16nm to 19nm), and the technology looks promising for even smaller process nodes. TEBO technology is designed for efficient, damage-free cleaning of patterned chips with 3D structures such as FinFET, DRAM, 3D NAND and 3D cross point memory, and even devices with very high aspect ratios.

Fig. 12: Single-wafer cleaning technology comparison

Company	Technology & Platform	Physical Mechanism (Principle)	Core Advantages & Applicable Scope	Limitations / Trade-offs	Market Position
ACM Research	**SAPS (Space Alternated Phase Shift)** **(Ultra C SAPS V / SAPS VI 18-chamber)**	A megasonic transducer is placed at a controlled gap from the wafer; the megasonic wave is delivered in ALTERNATING PHASES into that gap, so standing-wave nodes and antinodes are swept across the surface. Every point on the wafer therefore accumulates the same acoustic energy, and radical generation in the dilute chemistry is boosted by the megasonic field.	**Uniform**, full-wafer random-defect removal on both flat/blanket and patterned surfaces (deep via, deep trench); **Higher particle-removal efficiency** than conventional jet spray and conventional megasonic, and relatively MORE effective as nodes shrink. **Modular chambers** allow chemistry and megasonic combinations to be configured per step. **Capability**: handles 150/200/300mm plus non-standard substrates (compound semi, quartz, sapphire, glass). **Scope**: 28nm and above in volume; logic, DRAM, 3D NAND, power, compound and silicon substrates.	Megasonic energy still has to be bounded to avoid pattern damage on fragile ultra-low-k or very high-aspect-ratio structures (this is exactly what TEBO was built to solve). On a pure-SAPS step the chemical/acid consumption profile is similar to peers, the acid problem is addressed by Tahoe, not by SAPS.	Volume workhorse. The technology that broke ACM into SK hynix (introduced 2009, first mass-production order 2011)
ACM Research	**TEBO (Timely Energized Bubble Oscillation)** **(Ultra C TEBO)**	The megasonic field is sequenced so cavitation bubbles are generated, oscillated and collapsed in a controlled, TIMELY manner. Multi-parameter control keeps bubble oscillation stable rather than violently imploding, so the mechanical force stays BELOW the pattern-collapse threshold while still supplying the momentum needed to lift particles.	Solves the industry's decade-old problem of megasonic-induced damage on sub-50nm features. Demonstrated **damage-free** cleaning at feature sizes as small as 1xnm (16-19nm) and on 3D structures with aspect ratios up to 60:1. **Purpose-built for FinFET, DRAM, 3D NAND and 3D cross-point**. Passed 18-19nm DRAM process evaluation in 2025. **Scope**: 1xnm and below, high-aspect-ratio 3D logic and memory.	Took six years to develop and international majors attempted it for a decade without success, so qualification cycles are long and the ecosystem has no second source. Throughput and cost-of-ownership must be balanced against simpler jet-spray steps where damage is not the binding constraint.	Assessed as internationally leading by the National IC Innovation Centre and the Shanghai IC R&D Centre. This is ACM's core technology moat and the reason it can compete beyond mature nodes.
SCREEN Semiconductor Solutions	**SU-3000 / SU-3200 / SU-3300 series;** **nano-spray and two-fluid (dual-fluid) nozzles**	High-speed rotating single-wafer spin platform. Chemicals are delivered through nano-spray nozzles; selected modules use two-fluid (gas + liquid) atomisation, where the impingement momentum of nano-droplets removes particles. Five swappable process modules (backside scrub, FEOL aqueous, BEOL solvent, bevel edge etch, vapour etch) can be combined on one platform.	**Widest installed base and recipe library** in the industry; up to 24 chambers and c.800 wafers per hour; meets 10nm / 7nm parameters; **Strong on BEOL** polymer removal and Cu-interconnect bevel; **HF and chemical recycling** systems cut consumption. **Scope**: 7nm and above, essentially all front-end steps plus much of the back-end.	Rotation-based droplet momentum is intrinsically less able to clean deep, high-aspect-ratio 3D features without damage. Highest tool cost in the market, and China service/support is increasingly constrained by export controls.	Global No.1. c.27-37% of single-wafer cleaning market share
Tokyo Electron	**CELLESTA platform;** **spin-spray / nano-spray cleaning**	Single-wafer spin cleaning with nano-spray chemical delivery, combined with hybrid chemistries — ozone-based (O3/DIW) plus dilute sulfuric-acid-peroxide (DSP) — and AI-driven predictive maintenance. Leverages TEL's wafer-handling and coater/developer heritage for tight module integration.	**Broadest process coverage and high throughput**; turnkey 300mm modules that sit seamlessly alongside TEL's track and etch tools; hybrid O3 + DSP chemistry **reduces chemical load** while reaching very high metal-removal rates on 3nm-class wafers. **Scope**: 14nm / 7nm and above; advanced logic and foundry.	Premium pricing. Rotation-based momentum has the same high-aspect-ratio limitation as SCREEN. Conventional single-wafer SPM carries a heavy sulfuric-acid load, which is precisely the cost and ESG pain point ACM's Tahoe attacks.	Global No.2. c.21-22% share.

Source: Company data, Nomura research

Tahoe cleaning tools are a type of hybrid wafer cleaning tools with significant cost and environmental benefits. Today’s conventional single-wafer cleaners perform well at advanced nodes, but consume significant amounts of sulphuric acid and hydrogen peroxide, and the majority of them are wasted and cannot be recycled, as only a fraction of the acid reacts with the wafer surface. The excessive acid usage results in unnecessary cost, greater safety requirements, and more waste treatment for modern fab operations. ACM Research claims that its Ultra-C Tahoe incorporates innovative and patented technology to deliver high cleaning performance, but uses 25% or less sulphuric acid. This offers environmental and economic benefits. This new product is another example of ACM Research’s focus on differentiated and patent protected product offerings.

Fig. 13: ACM Research Tahoe vs batch and single-wafer cleaning technologies

Dimension	Batch / Wet-bench SPM	Single-wafer SPM	ACM Ultra C Tahoe	Why it matters
Tool architecture	A cassette of 25-50 wafers is immersed in a chemical tank, then quick-dump-rinsed (QDR).	One wafer at a time in a closed chamber; chemistry dispensed by scanning arms.	Patented HYBRID architecture: **a batch module** (25 tanks, upgraded from 13) and **single-wafer chambers** (9, upgraded from 8) integrated in ONE tool. The wafer is transferred from tank to chamber while still WET.	Tahoe captures the low chemical cost of batch and the cleanliness of single-wafer in a single footprint. These are the two things fabs previously had to choose between.
Sulfuric acid consumption	Lowest per wafer, because the bath is re-circulated, but cleanliness is insufficient for advanced nodes.	Highest: each wafer receives fresh acid.	Up to 75% LESS than single-wafer SPM. At 2,000 wafers/day Tahoe uses under 200 liters/day, versus more than 1,600 litres/day of additional acid for a single-wafer tool.	The single largest operating-cost and ESG lever in SPM. ACM estimates acid alone saves up to US$0.5m per tool per year, plus further savings on spent-acid treatment.
Spent-acid discharge	Low volume, but the re-circulating bath degrades and becomes a contamination source.	Highest; a large and rising waste-treatment burden as environmental rules tighten.	At least 80% less sulfuric-acid waste than single-wafer SPM	Spent-acid treatment is one of the largest fab-level ESG cost lines. Regulation is tightening, which favours Tahoe.
Throughput	High, a full tank per cycle.	High with many chambers (a 12-chamber SPM tool runs about 200 wph).	More than 200 wafers per hour from the 25-tank + 9-chamber configuration, which is comparable to a 12-chamber SPM system.	No throughput penalty versus the incumbent single-wafer SPM tool, so the acid saving is effectively free.
Cross-contamination risk	HIGHEST, wafers share a common bath and particles re-deposit between wafers. This is what disqualified batch tools at 28nm and below.	Lowest, fresh chemistry and a closed chamber for every wafer.	Low: the wafer never dries between modules, and the single-wafer module can be fitted with up to 4 arms, each delivering up to 3 process chemistries. Low cross-contamination is flagged as one of Tahoe's two headline advantages.	This is the specific failure mode that historically killed batch SPM at advanced nodes. Tahoe's hybrid design attacks it directly.
Applicable process window	45nm and above / mature nodes only.	All nodes, including advanced, but mainly used in advanced	Qualified at 65nm and 55nm and scaling down. Explicitly targets the mid/low-temperature SPM segment	Enlarging TAM.
CapEx and footprint	Lowest cost.	Highest cost and largest footprint.	Mid: one tool replaces separate batch and single-wafer tools. Tahoe has historically been ACM's highest-ASP product (about twice a batch tool)	Higher ASP is margin-accretive and differentiates ACM from price-led domestic competitors
Customer traction	Installed base legacy; being retired at advanced nodes.	Incumbent standard at advanced nodes.	Multiple large Chinese fabs have the upgraded tool in production; further logic and memory customers were evaluating it and additional units were expected to ship from end-2024. Qualified across logic, DRAM and 3D NAND.	Key to expanding coverage

Source: Company data, Nomura research

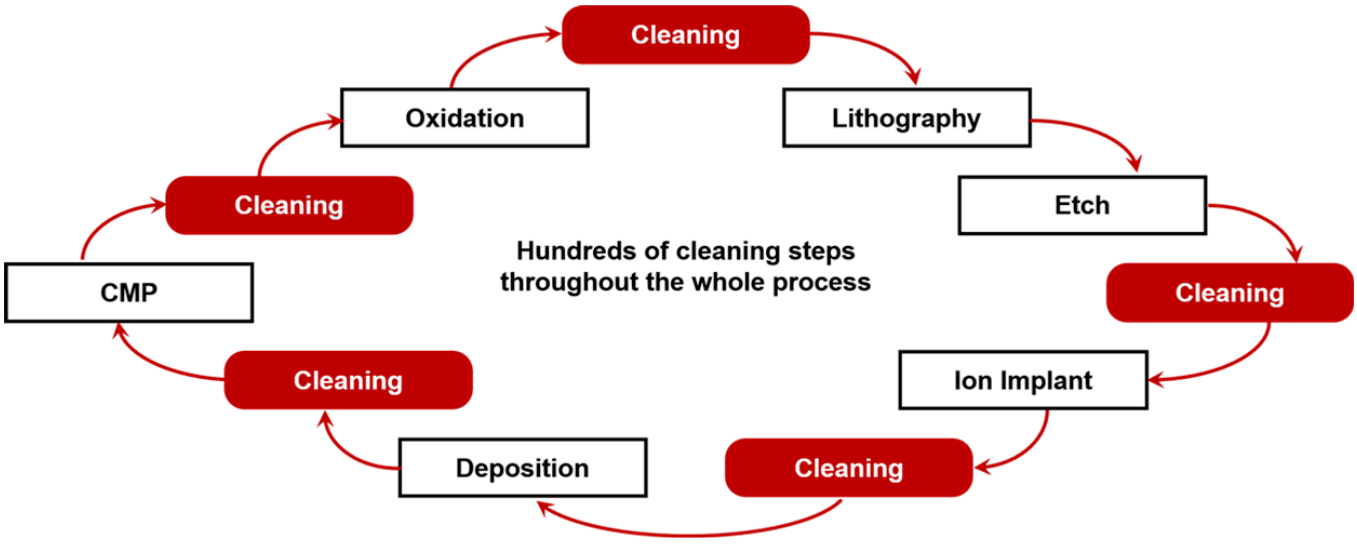
The moats are reinforced by two structural barriers. First one is IP: 2,633 patent applications with 646 granted (229 new filings in 1H26), covering SAPS/TEBO/Tahoe architectures. Second, qualification cycles: equipment is qualified at process-of-record level with long customer cycles; leading-node wet materials enter development ~5 years before mass production, locking in suppliers and raising switching costs at every node.

Process advancement and node migration cleaning demand

By our estimates, cleaning is expected to grow among the fastest pace, even faster than lithography, as China has no availability on EUV lithography equipment. Multi-pattern in advanced nodes would require more etching and deposition steps, and most etching and deposition steps will followed by cleaning, which increases the TAM of cleaning equipment at faster pace.

Fig. 14: Cleaning steps throughout the whole process

Hundreds of cleaning steps throughout the whole IC manufacture process

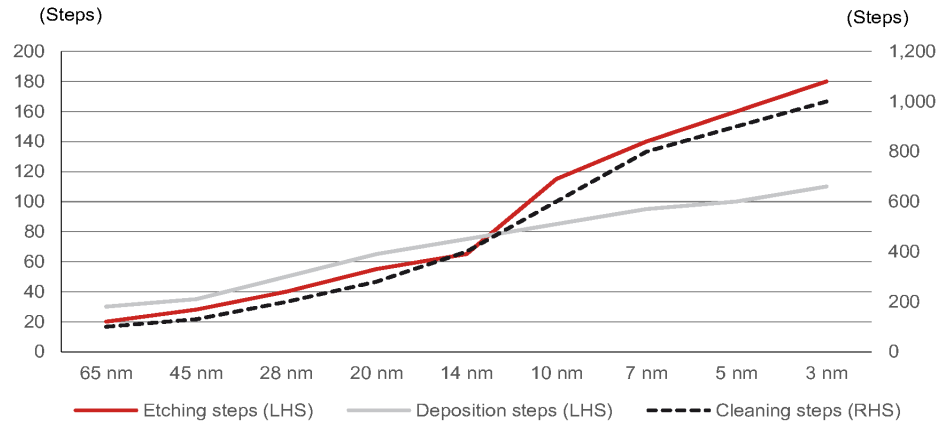


Source: ACM Research, Nomura research

The step-count penalty (more steps needed) of multi-patterning is large. For example, a

7nm-class IC requires roughly 800 cleaning steps, versus about 200 at 28nm, equivalent to a ~4x inflation. On a per-fab basis, a 12-inch advanced line consumes roughly 20-35 cleaning tools per 10k wpm, versus 15-20 for a mature-node line.

Fig. 15: Step count estimates of cleaning, etching and deposition by process nodes

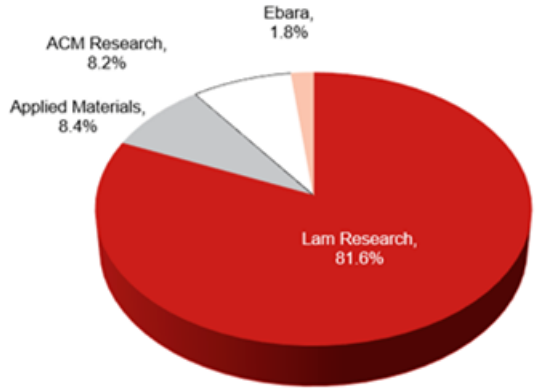


Source: SEMI, TEL, The Industry Cleaning Association of China, Nomura research

Advanced packaging pulls ECP tools

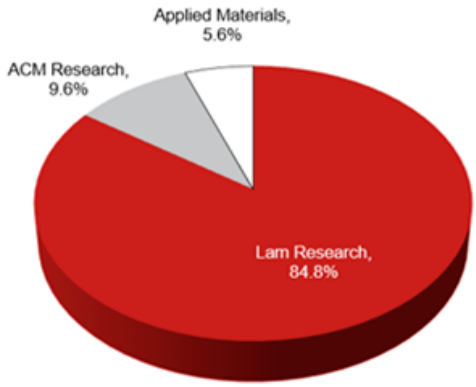
As one of the major suppliers of electroplating tools (ECP or ECD) globally, ACMR should also benefit from advanced packaging build-out, in our view; ACM's ECP franchise converts packaging capacity into orders. Currently, ACMR is the second-largest supplier of ECP tools globally, with a market share of ~10% in 2025, according to Gartner. The majority of the market is still controlled by the marker leader Lam Research (LRCX US, Not rated).

Fig. 16: Global market share of electroplating tools (2024)



Source: Gartner, Nomura research

Fig. 17: Global market share of electroplating tools (2025)



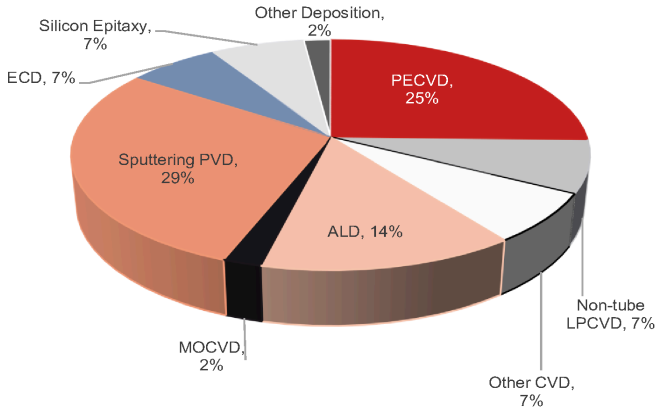
Source: Nomura research

Aluminum for several decades was used as the dominant IC interconnection material, given its easy-to-deposit feature, easy-to-etch, and low cost. But below the 130nm node, aluminum interconnects hit a wall: rising resistance–capacitance (RC) delay, and electromigration that limited current density. Therefore, copper became mainstream. But copper cannot be patterned by conventional dry etching at production throughput. The industry's answer was the damascene (and later dual-damascene) scheme: etch the dielectric first, then fill the resulting trenches and vias with copper electroplating, and polish the excess away.

That fill step is electrochemical deposition. The sequence for a modern copper interconnect layer is: dielectric deposition and patterning → conformal barrier (TaN/Ta) and copper seed layer by PVD or ALD → ECP copper fill → anneal to grow grains and lower resistivity → CMP to remove the overburden → cap/dielectric deposition.

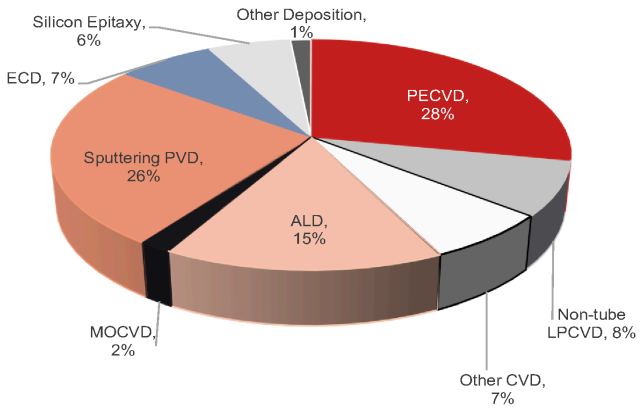
Electroplating has not been a major capex contributor in front-end manufacturing process. According to Gartner, ECD (same as ECP) accounted for 7% of deposition revenue in 2024 and 2025, which indicates it accounted for ~2% of total fab spending.

Fig. 18: Global deposition revenue mix by type (2024)



Source: Gartner, Nomura research

Fig. 19: Global deposition revenue mix by type (2025)



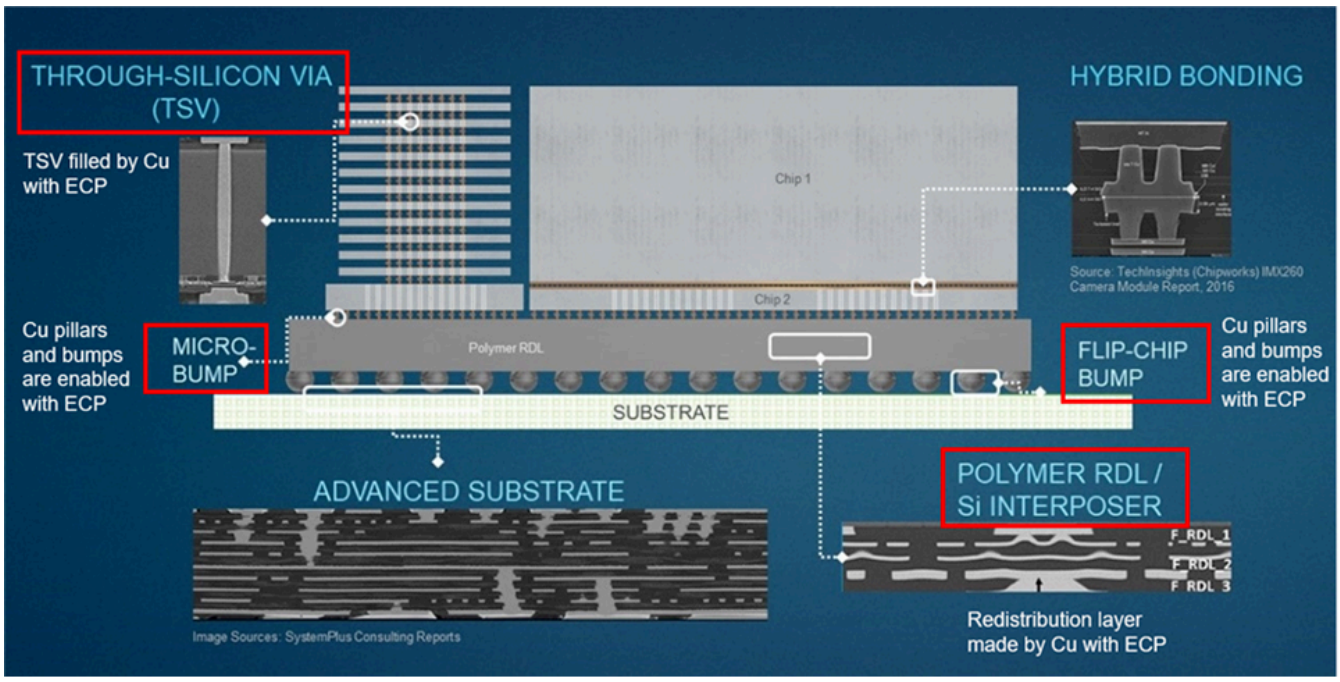
Source: Gartner, Nomura research

That being said, the importance of ECP cannot be underestimated by the share. ECP is the major method for copper metallization, so essentially nearly all of copper wiring, interconnection, pillars, RDL and via fill passes are enabled by electroplating; other alternative processes are not practical due cost and limitation. This is also a reason why ECP's importance is quickly increasing in advanced packaging, where interconnection, RDL, and TSV are among the key focus areas.

In the advanced packaging field, there are three metal structures, each built by plating:

- **Bumps and copper pillars:** the copper pillars and solder caps that connect a flipped die to a substrate or to another die, and the micro-bumps that connect stacked memory dies. ECP is the standard route because it deposits thick, low-resistance metal fast and with good uniformity across a 300mm wafer.
- **Through-silicon vias (TSV):** vertical connections through a die or an interposer, enabling 3D stacking and high-bandwidth memory. TSV fill is the hardest plating problem in the back end: large features (>10:1 aspect ratio, tens of microns deep) filled void-free in a single, slow, tightly controlled deposition.
- **Redistribution layers (RDL):** the metal traces that fan a die's I/O out beyond its own footprint and reroute it to where the package needs it. RDL is the backbone of fan-out wafer-level and fan-out panel-level packaging.

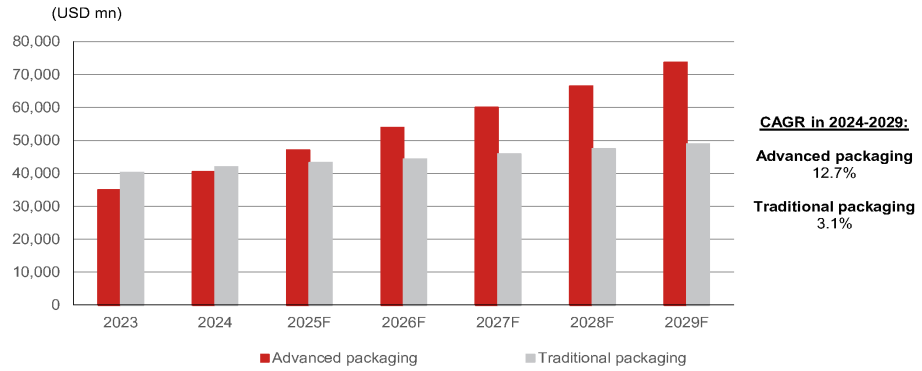
Fig. 20: ECP is widely used in advanced packaging, an example in 2.5/3D heterogeneous integration



Source: Applied Materials, Nomura research

As copper pillar and bumping are required by almost all packaging formats, we estimate **they will account for ~50%** or more of ECP value in advanced packaging. TSV usually takes a long time to fill, and increasing HBM capacity will also increase demand for ECP, so we estimate **TSV to take up ~30%** of ECP value in advanced packaging. **RDL and fan-out takes up the rest ~20%**. But it is worth highlighting that RDL is increasingly important nowadays, and PLP will also increase the demand.

Fig. 21: Advanced packaging is likely to record a 12.7% CAGR



Source: Gartner, Nomura research

Gartner expects advanced packaging to record a ~13% CAGR over 2025-29E, but we expect the growth rate could be higher, primarily driven by:

- **AI/HPC and HBM.** A 2.5D package (CoWoS-class) puts logic and HBM on a silicon interposer criss-crossed with multiple RDL layers; an HBM stack adds TSV plating for every DRAM die plus micro-bumps between them. As stacks move from 8-high to 12-high to 16-high and interposers get larger and denser, the plating step count per package rises broadly in line with layer count and die count.
- **RDL proliferation.** RDL line/space is pushing toward 2μm/2μm and below, and advanced fan-out designs now use four or more RDL layers. Each layer is a deposit-and-pattern cycle: seed, plate, strip, etch, so the number of ECP passes scales with the number of routing layers, not only with the number of dies.
- **Panel-level packaging (FOPLP/PLP).** Moving from a 300mm round wafer to a 510×

515mm (and eventually 600×600mm) rectangular panel lifts substrate area utilization, and continues to be the industry's focus. Being one of the growing areas in fan-out packaging, RDL needs would also increase with the penetration of PLP.

- **Glass substrates and TGV.** Glass is emerging as the interposer substrate for the largest AI packages. Its trough glass vias (TGV) must be filled with copper pillar, nickel, tin-silver and gold plating.

Fig. 22: ECP intensity estimates in advanced packaging

Platform	RDL layers	Bump / pillar pitch	TSV aspect ratio	TSV count per die	ECP relative intensity (as % of FCBGA)	What drives the plating load
FC-BGA / FCBGA (substrate flip-chip)	0	130-150µm	N/A	0	100%	Baseline: copper pillar + solder cap plating
FC-CSP / WLCSP	1	80-130µm	N/A	0	105%	Similar to FC-BGA but tighter pitch and thinner wafer handling
FOWLP / InFO (fan-out wafer-level)	2–4	40-80µm	N/A	0	150%	Each RDL layer adds a seed + plate + strip + etch cycle; bumps add a final pillar pass
2.5D CoWoS-class (silicon interposer)	3–5	40-55µm	10:1	Interposer consists of plenty	230%	Interposer RDL plus TSV fill plus micro-bumps on both faces; largest step count today
HBM stack (8-Hi)	0	25-40µm µ-bump	10:1 to 15:1	over 1,000	260%	TSV per DRAM die + micro-bumps per interface; slow, long fill dominates cycle time
HBM stack (12-Hi → 16-Hi)	0	20-30µm µ-bump	15:1 to 20:1	over 1,500	340–420%	Plating load scales roughly with die count in the stack; higher aspect ratio increases plating time and hence intensity
3D stacked logic (hybrid bonding)	2–4	<10µm bond pad	5:1 to 10:1	moderate	>200%	Hybrid bonding does NOT remove plating: RDL, vias, pads and Cu recess are all plated first
FOPLP / panel-level (510×515mm)	2–4	40-80µm	N/A	0	>150% (per panel)	Same step count as FOWLP but over ~3.5x the substrate area of a 300mm wafer; throughput, not steps, is the gain; edge uniformity is the challenge
Glass substrate / TGV	2–4	40-80µm	5:1 to 10:1 (blind via)	TGV high density	>200%	Blind-via fill plus Cu/Ni/SnAg/Au plating; larger panels and different adhesion chemistry

Source: Nomura estimates

ACM Research Ultra ECP family now covers the front end, wafer-level packaging, 3D stacking, compound semiconductors, electrochemical de-plating and, most recently, panel-level packaging (Ultra ECP ap-p horizontal electroplating tool, which ACMR delivered to a leading China advanced packaging customer, for 510x515mm panel; it delivered another one to an Asian leading panel-level packaging customer, for 310x310mm panel).

We believe ECP is a fast-growing engine for ACMR, and ACMR is also enjoying competitive advantages in the field, including:

- **A proprietary horizontal plating architecture.** Most of the industry plates vertically, immersing wafers in baths. ACM plates horizontally, with a synchronously rotating chuck and a rotating electric field. The claimed benefits are better film uniformity and no cross-contamination between different chemistry baths, which is an inherent failure mode of vertical tank designs. The same architecture is what allows the tool to be scaled from a 300mm wafer to a 510×515mm panel.
- **Multi-anode local plating control.** Millisecond switching between independently controlled anodes lets the tool shape the current distribution across the wafer. This is what enables void-free fill on ultra-thin seed layers, and it is a control capability that can be transferred across products.
- **Wet-process franchise leverage.** Plating does not sell in isolation. It sits between cleaning, bevel etch, CMP/SFP and track steps. ACMR's SAPS/TEBO/Tahoe cleaning franchise, stress-free polish, new KrF track give it an adjacent-selection advantage with the same OSAT and fab buyers.
- **First-mover position in panel-level plating.** FOPLP is one segment that is still in development, yet with a significant penetration rate, because the substrate format changes and wafer-derived tools do not simply scale. ACMR's patented horizontal approach and its first commercial panel tool give it a genuine early position in a market that is being reset.

Expanding product coverage enlarges TAM; long-term target USD4bn+ revenue

Beyond the expertise in cleaning and ECP tools, ACM Research is also expanding its product portfolio into other fields, including furnace (LPCVD, ALD, oxidation), anneal,

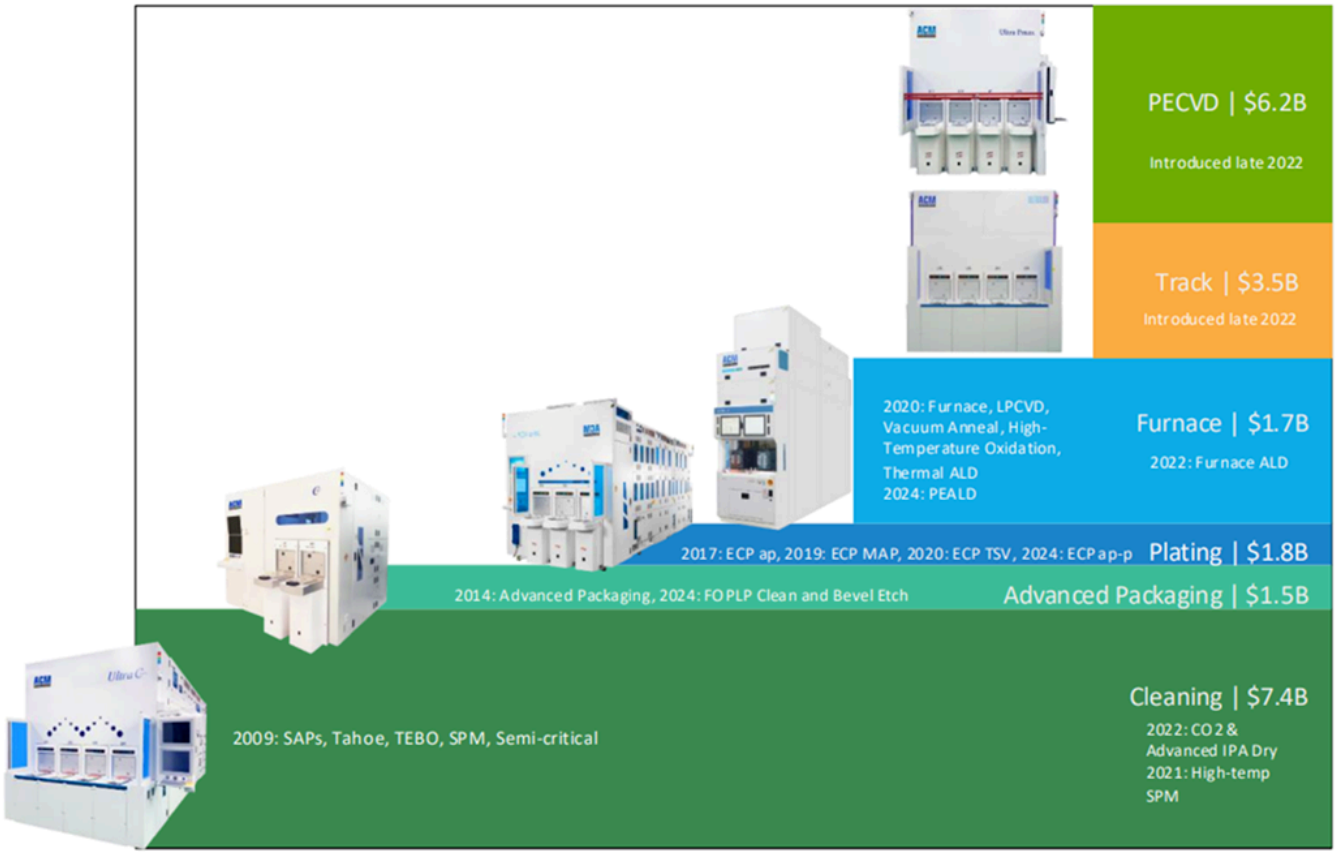
PECVD, and track (coating and developing) products. Management expects to expand the SAM (serviceable addressable market) to ~USD22bn (cleaning + ECP + furnace + advanced packaging + track + PECVD). New product qualification milestones are expected to be concentrated in late-2026, including hot Sulfuric Peroxide Mixture (SPM) in volume ramp-up (expect >20 units 2026E); PECVD qualification with revenue expected in 2027E; KrF track full-flow qualification during 2026 with revenue contribution expected in 2027E, and ArF in development; furnace LPCVD/ALD ramping up at multiple China fabs; and PLP ECP evaluation orders converting through 4Q26-1H27.

Fig. 23: ACM Research long-term target SAM and revenue

Equipment Category	SAM Global (USD bn)	SAM China (USD bn)	SAM Overseas (USD bn)	Target share Global	Target share China	Target share Overseas	L/T revenue target (USD mn)	L/T revenue target - China (USD mn)	L/T revenue target - Overseas (USD mn)
Cleaning	**7.4**	2.6	4.8	**30%**	60%	15%	**2,233**	1,540	693
ECP	**1.8**	0.6	1.1	**30%**	60%	51%	**533**	368	165
Furnace	**1.7**	0.6	1.1	**11%**	15%	10%	**194**	88	106
PECVD	**6.2**	2.2	4.0	**10%**	15%	8%	**613**	314	299
Track	**3.5**	1.2	2.2	**8%**	10%	8%	**283**	115	168
Advanced packaging (ex. ECP)	**1.5**	0.5	1.0	**10%**	20%	5%	**150**	100	50
SAM/revenue subtotal	**22.0**	**7.7**	**14.2**	**18%**	**33%**	**10%**	**4,006**	**2,525**	**1,481**

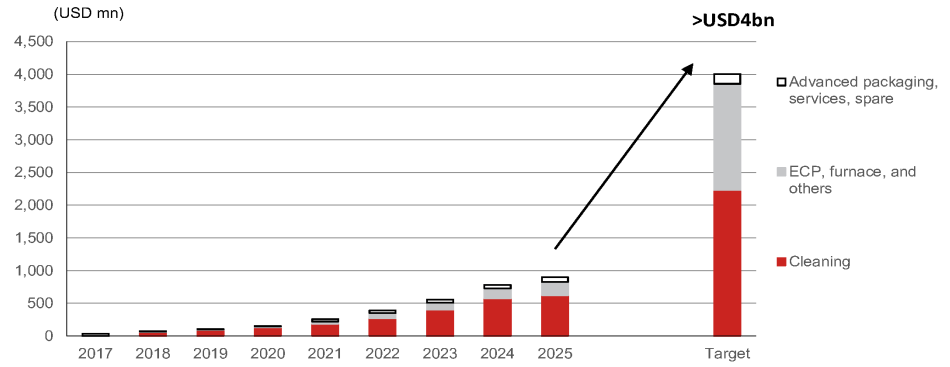
Source: Company data, Nomura research

Fig. 24: ACM Research's expanding SAM



Source: Company data, Nomura research

Fig. 25: ACM Research expects long-term target to be over USD4bn

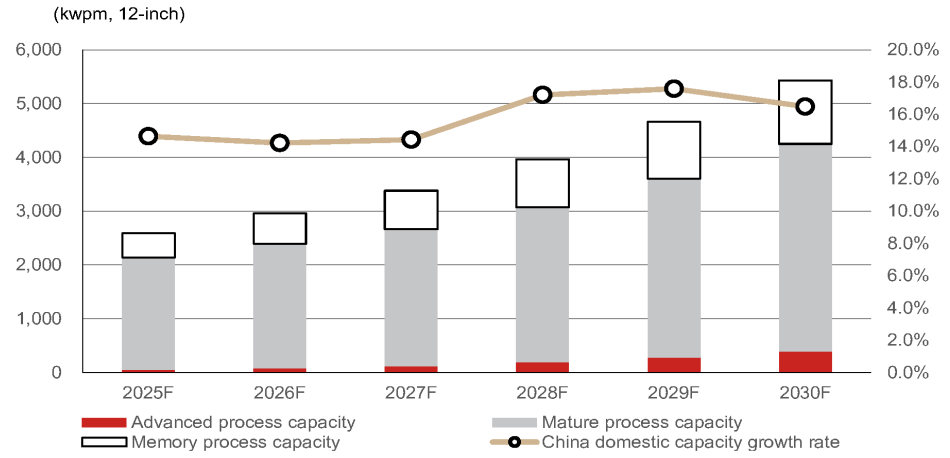


Source: Company data, Nomura research

We expect aggressive capacity expansion and high fab capex in the years ahead

Our forecasts indicate China's total semiconductor capacity is expected to continue to expand in the next five years, with a CAGR of 16% over 2025-30F. The advanced process could grow at the fastest pace with a CAGR of 48% over 2025-2030F, followed by the memory process at 21%, and the mature process at 13%. The rapid expansion will likely translate into fab capex, and ultimately into wafer fab market revenue.

Fig. 26: China's semiconductor manufacturing capacity forecasts



Source: Nomura estimates

HLMC (unlisted) and SMIC (981 HK, Neutral), two of ACMR's largest customers, are both actively expanding their capacity in the advanced process to fulfill the sizable and surging domestic demand. The two major Chinese memory makers, YMTC and CXMT, also among ACMR's top customers, are also aggressively expanding capacity and advance technology capabilities. These key customers have deep supply-chain bundling with ACMR, and hence represent one of the main drivers of ACMR's growth.

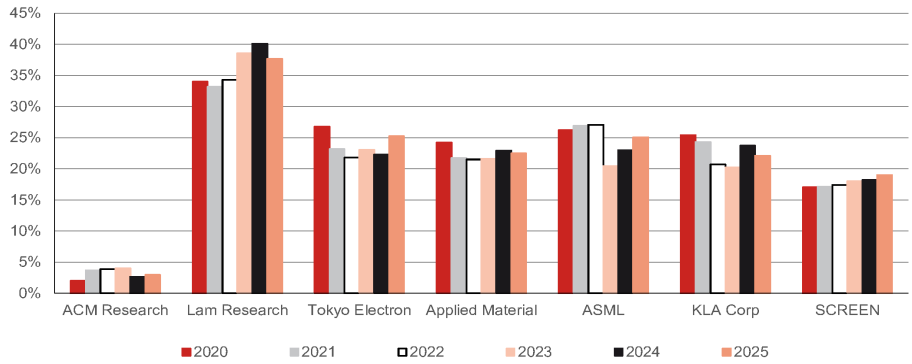
Installed-base stickiness and services

This benefits especially leading players, with significant installed base and customer base. Once a tool is qualified into a fab and running in volume, switching costs are high, as requalification is expensive and process recipes are tightly coupled to the equipment. ACMR's growing installed base therefore generates a recurring stream of spare parts, upgrades, and services. This compounding installed-base dynamic is the same one that has underpinned the decades-long dominance of Applied Materials (AMAT US, Not rated) and Lam Research (LRCX US, Not rated), and is now forming around ACM Research.

With more installed base and customer adoption, service revenues are likely to grow accordingly. Currently, ACMR's revenue percentage is only around 3-4%, far below global peers. Lam Research, a leading global player in etching and deposition, has the highest services & spare parts revenue percentage of 35-40% (company data). Considering

ACMR is now expanding market share and customer base in China, services and spare parts revenues are expected to catch up gradually, in our view.

Fig. 27: Revenue from services and spare parts as a percentage of total



Source: Company data, Nomura research

China's localization push: the most important driver

China is the world's largest WFE market, but its self-sufficiency rate remains low, around 26-27% (and far lower in lithography and ion implanter). Export controls have converted localization from a cost decision into a strategic necessity. Domestic fabs are now actively sourcing and qualifying Chinese tools across every front-end step. As a prominent domestic vendor in cleaning and electroplating, ACMR is a key beneficiary of this trend, in our view.

In terms of localization, there are two layers to consider: (1) an increase in semiconductor device localization rate should drive more domestic capacity expansion, which would further translate into higher WFE TAM; and (2) on top of that, an equipment localization rate increase would further reflect domestic equipment vendor market sales growth and market share gain.

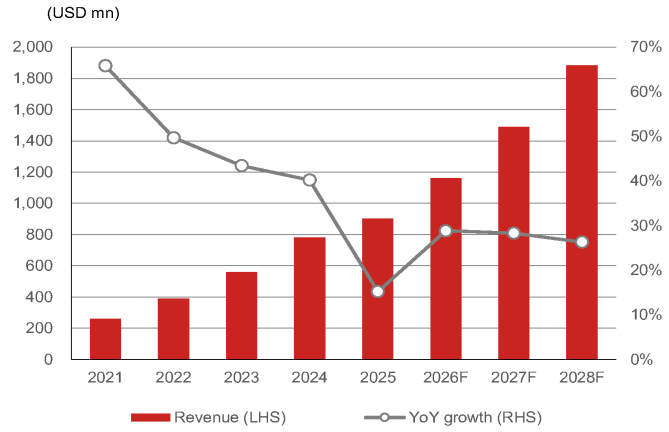
ACMR's market share in China, by our estimate, was around 2.0% in 2025, and we expect this to further increase to 2.1% in 2026F. By our estimates, (1) if ACMR achieves a 4% market share in 2030F, it would have a sales CAGR of ~36% during 2025-30F; (2) if ACMR achieves a 5% market share in 2030F, it would have a sales CAGR of ~42% over
2025-30F. In addition, with more capacity being added, the upside potential should be higher.

Financial analysis and outlook

ACM Research has been in a rapid growth phase since 2017, generating a CAGR of 49% over 2017-25. Cleaning has been the major revenue contributor since the company's inception, with its contribution being over 70% before 2025. The ECP, furnace and other segment has quickly caught up in recent years, with its revenue contribution rising to 22% in 2025, and further to 41% in 1H26.

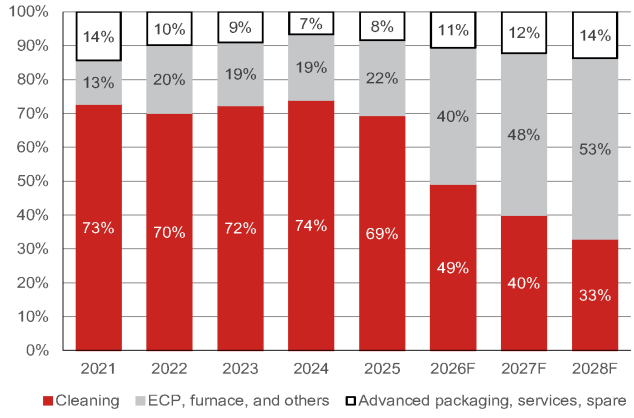
Based on our positive outlook driven by its technology strength in cleaning and ECP and growing demand for advanced packaging, as well as localization push, we expect a revenue CAGR of 27.8% over 2025-28F, likely outperforming China's WFE market. By segment, we forecast the ECP, furnace and others segment to record a 71% CAGR over 2025-28F, and the advanced packaging segment to post a 50% CAGR over 2025-28F. These are driven by domestic memory and foundry capacity expansion as well as technology advancement, new product ramping up, and advanced packaging demand. Given the rising importance of ECP in advanced packaging, and our expectation that new products will contribute revenue from 2027F, we believe the ECP segment's contribution will surpass that of cleaning from 2027F, making it the key revenue driver and contributor.

Fig. 28: ACM Research revenue forecasts



Source: Company data, Nomura estimates

Fig. 29: ACM Research revenue breakdown by segment



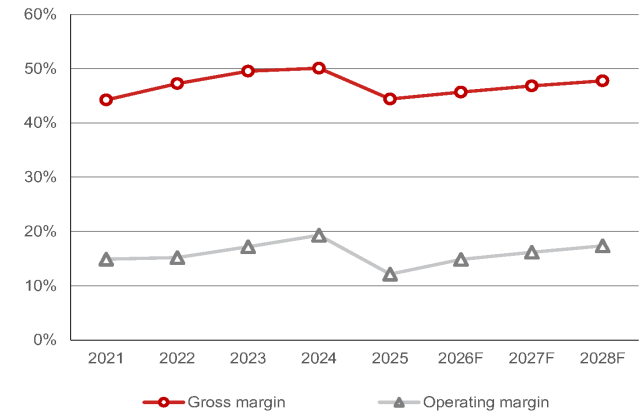
Source: Company data, Nomura estimates

Margins stabilizing; mix improvement to drive margin uptrend

ACM Research's gross margin had been improving until 2024, and moved downward in 2025 (from 50% in 2024 to 44% in 2025), mainly due to (1) cleaning sales slowing down, (2) new products including back-end ECP, furnace, wet process in advanced packaging revenue recognition, whose margins are generally lower at the beginning stage, and (3) an inventory impairment of USD15.5mn (vs USD2.8mn in 2024, impacted GPM by ~1.5pp). Group gross margin has remained above 45% since 2017 (except for 2025). With sales increase and a more stable market environment, we forecast corporate gross margin to increase to 45.7% in 2026F, and then keep increasing to 47.7% in 2028F. The ECP segment usually enjoys the highest margin of around 55-60%, followed by the cleaning segment.

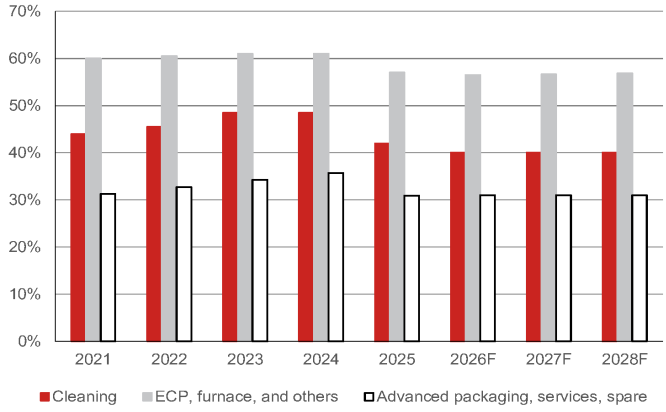
R&D expense has been the largest component of the company's operating expenses. ACM Research's R&D expense ratio (as a percentage of revenue) rose from 13.5% in 2024 to 16.1% in 2025, which we believe was due to new products. To maintain technology strength and keep expanding market share, we expect R&D expense to continue to increase, with the R&D expense ratio sustaining around 16%. We expect ACM Research's operating profit margin to return to over 17% level in 2028F, aided by GPM recovery and sales increase.

Fig. 30: ACM Research gross margins and operating margins



Source: Company data, Nomura estimates

Fig. 31: ACM Research gross margin by segment



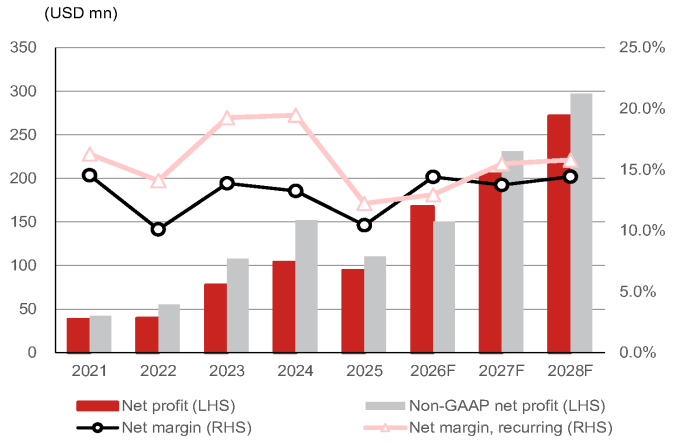
Source: Company data, Nomura estimates

Net profit and EPS

ACM Research's net profit attributable to shareholders (net profit, or NP) was USD94mn in 2025, representing a 9% decline from 2024 (USD104mn), due to the aforementioned GPM and OPM contraction. Net profit margin was 13.2% in 2024 and 10.4% in 2025. We expect its net profit margin to be back to 14.4% in 2026F mainly due to sales growth, and margin improvement. On a non-GAAP basis, we expect non-GAAP net margin to be 12.9% in 2026F (vs 19.5%/12.2% in 2024/2025). With sales growth and gross margin trending up, we forecast its non-GAAP net margin to improve gradually, reaching 15.8% in 2028F.

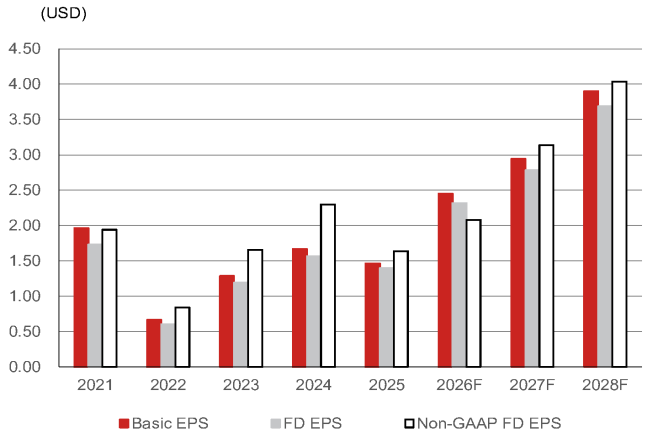
Basic and diluted EPS of the company was USD1.47 and USD1.40 in 2025 (basic and diluted weighted average share number of 64mn and 67mn, dilution effect around ~5%).

Fig. 32: ACM Research net profit and net margin



Source: Company data, Nomura estimates

Fig. 33: ACM Research basic EPS and diluted EPS



Source: Company data, Nomura estimates

Our forecasts for revenue are largely in line with Bloomberg consensus estimates, and our forecast for net income in 2026F is lower than consensus, as we expect more R&D expenses as ACMR continues to launch and qualify new products. That being said, both net income and non-GAAP net income have been seeing significant growth.

Fig. 34: Financial forecast – Nomura versus consensus

(USD mn)	2026F	2027F	2028F
Revenue - Nomura est	**1,161**	**1,490**	**1,883**
Revenue - consensus	1,171	1,515	1,892
Revenue - diff	*-0.8%*	*-1.6%*	*-0.5%*
Gross margin - Nomura est	**45.7%**	**46.8%**	**47.7%**
Gross margin - consensus	45.6%	46.0%	46.1%
Gross margin - diff	*0.0%*	*0.8%*	*1.6%*
Operating profit - Nomura est	**172**	**241**	**326**
Operating profit - consensus	190	264	353
Operating profit - diff	*-9.1%*	*-8.8%*	*-7.6%*
Net income - Nomura est	**167**	**205**	**271**
Net income - consensus	184	207	281
Net income - diff	*-8.9%*	*-0.9%*	*-3.4%*
Net income, non-GAAP - Nomura est	**150**	**231**	**297**
Net income, non-GAAP - consensus	151	212	278
Net income, non-GAAP - diff	*-0.6%*	*8.9%*	*7.2%*

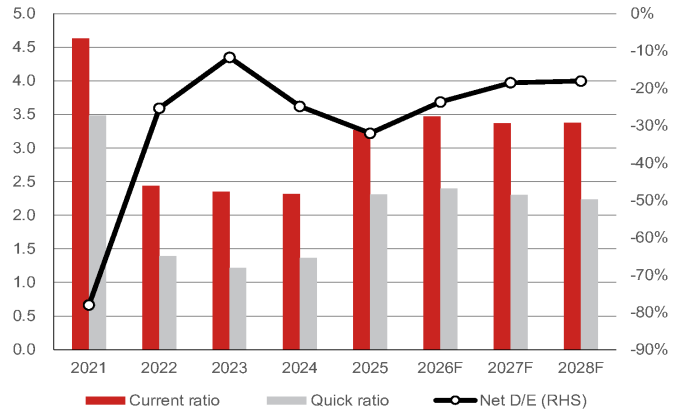
Source: Bloomberg Finance L.P., Nomura estimates

Balance sheet: healthy financial position

ACM Research's net debt-to-equity ratio has remained under 0% over the past five years, but saw a significant increase in 2022 due to a decrease in cash resulting from an investment in the Lingang production base. We expect no further debt raise by the company, and the net debt-to-equity ratio to remain below -20% over 2026-28F . In terms of liquidity, historically, the current ratio for ACMR has been above 2.0, while the quick ratio has been above 1.0 – this suggests stable liquidity and stable current financial position.

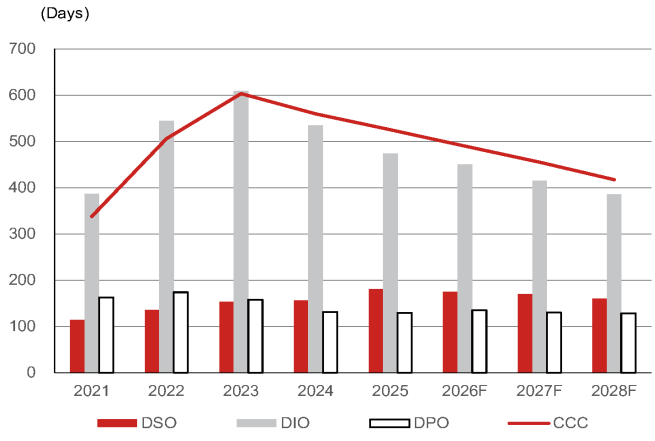
Inventory days (DIO) has been at a very high level (over 400 days), resulting in a positive and high cash conversion cycle (CCC). It is fairly normal in the semiconductor equipment industry that DIO is usually very high because equipment takes a long time to manufacture and assemble before revenue can be recognized, necessitating an advance stockpile of components and parts. The DIO has been declining since 2023, meaning normalized inventory delivery and increase in orders.

Fig. 35: ACM Research liquidity and solvency ratios



Source: Company data, Nomura estimates

Fig. 36: ACM Research working capital days



Source: Company data, Nomura estimates

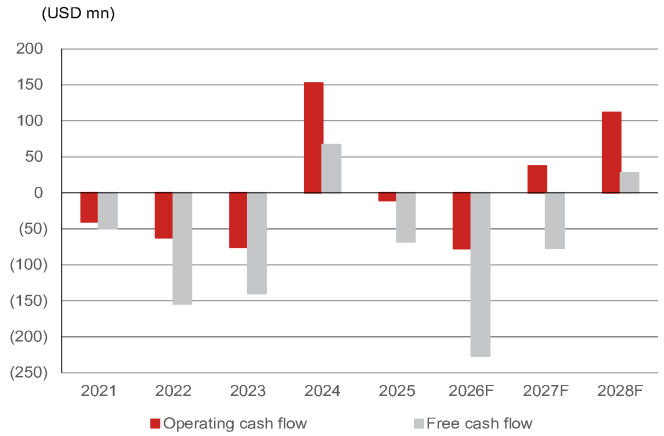
Cash flow to improve with normalized working capital days and profit growth

Operating cash flow was mostly negative over the past five years except for 2024, when an advance from a customer surged due to pre-orders. We expect operating cash flow to turn positive from 2027F helped by profit growth and normalized working capital days.

The capex ratio peaked in 2022 due to the PP&E investment in the Shanghai Lingang factory. We expect 2026F to experience increased capex and capital intensity mainly due to a building purchase in Shanghai in 1H26 (1H26 capex +172% y-y, capital intensity

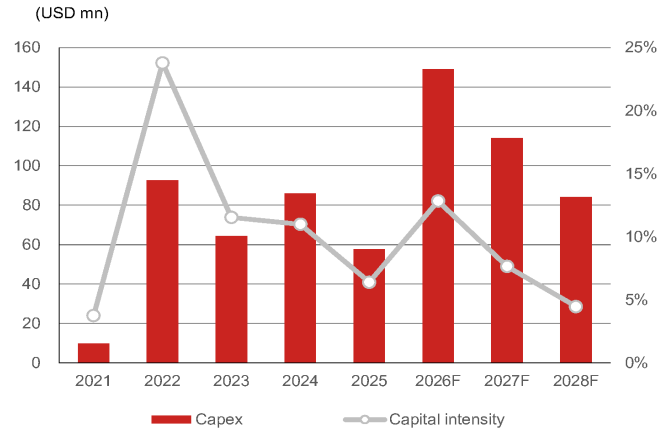
17%). With market share gain as the primary goal, we expect the company's capital intensity to be ~8% in 2027F, and then come down to ~5% in 2028F.

Fig. 37: ACM Research operating and free cash flow



Source: Company data, Nomura estimates

Fig. 38: ACM Research capex and capital intensity



Source: Company data, Nomura estimates

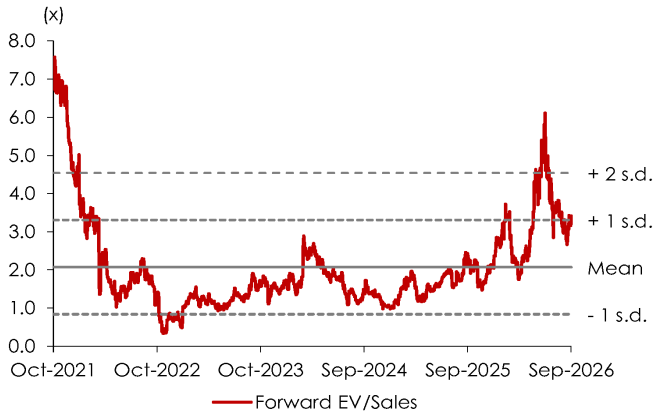
Valuation of ACM Research: at a discount to peers; deserves a re-rating

Being a manufacturing company, sales and profit are the ones driving ACMR's valuation. P/E is normally used for these kinds of companies. However, China equipment vendors, including ACM Research, are now in a fast expansion stage, with sales growth and market share gain being the key focus areas. Therefore, we think a sales-related valuation multiple should be more suitable for their valuation.

We choose EV/sales as our major valuation multiple to value Chinese SPE companies, mainly considering: (1) Chinese vendors are at mid-ramp, high-R&D phases whose profits are depressed by heavy investment and one-off items, so earnings multiples overstate their relative value; and (2) Chinese players are now at sales expansion and market share driven stages, where sales growth and market share gains are the main focus for them, especially with the localization story.

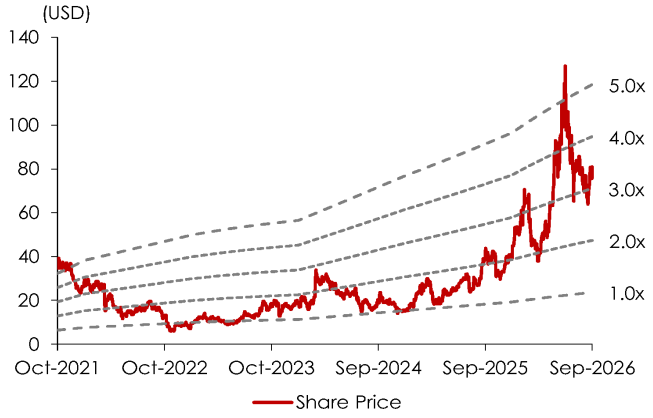
Historically, over the past five-year period, ACM Research largely traded at 0.3-7.6x forward EV/sales (average 2.1x), with the valuation being the highest in 2021, when the chipset shortage story dominated the China A-share market, and most semiconductor-related companies traded at peak levels. After de-rating, over the recent three-year period, ACM Research largely traded at 1-6x forward EV/sales, with the average multiple of 2.0x being at a discount to domestic peers.

Fig. 39: ACM Research 5-year-forward EV/sales trend



Source: Bloomberg Finance L.P., Nomura estimates

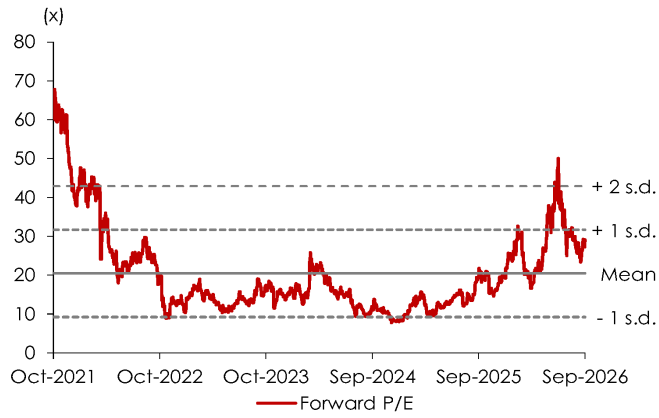
Fig. 40: ACM Research 5-year-forward EV/sales band



Source: Bloomberg Finance L.P., Nomura estimates

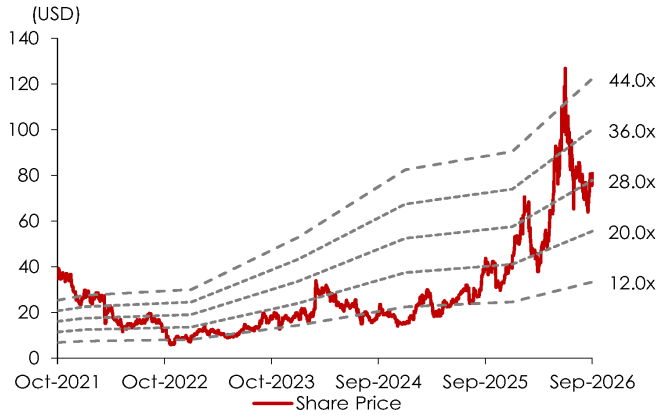
P/E multiples tend to be more volatile than EV/sales. During the past five years, ACM Research's forward P/E was in the 8-68x range, with the average multiple being 21x. Volatility was significant, with the average being -2SD below 0. This is another reason we have chosen EV/sales as our main valuation method.

Fig. 41: ACM Research 5-year-forward P/E trend



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 42: ACM Research 5-year-forward P/E band

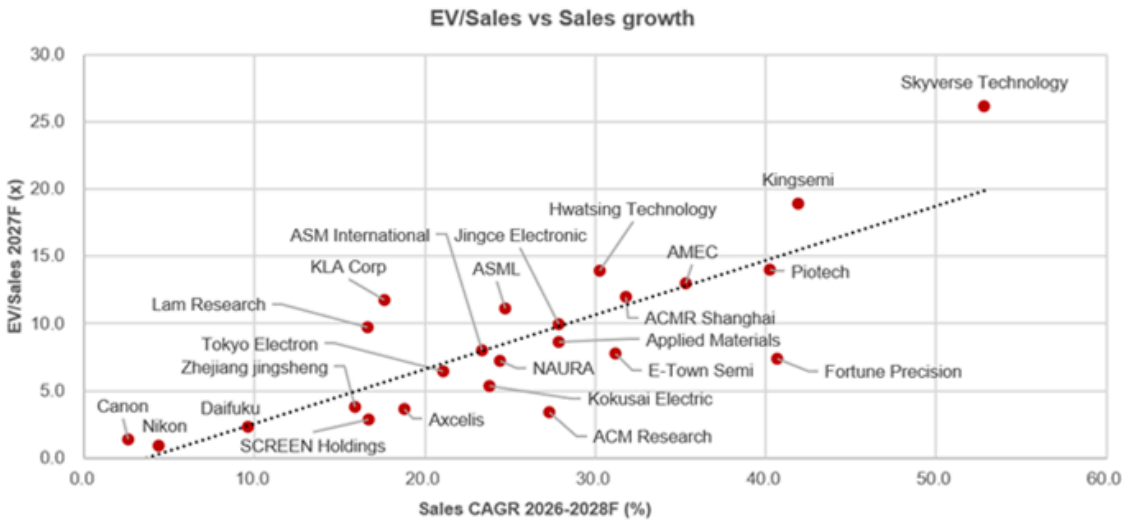


Source: Bloomberg Finance L.P., Nomura estimates

EV/sales is a capital-structure neutral measure (EV includes net debt, so it is comparable across different leverage and tax regimes), and is less affected by depreciation, amortization and R&D capitalization policy. For cross-market, cross-lifecycle comparison of hardware companies, EV/sales is a clean proxy, in our view. But its limitation is equally clear: it says nothing about profitability, so it should always be read alongside margin and revenue growth.

China equipment vendors generally trade at higher valuations than global peers. On an EV/sales basis, leading global equipment vendors trade at 2-10x 2027F EV/sales with an average of 5.7x, while domestic players largely trade at 6-30x with an average of 14.5x. We think the main reason for the premium is: (1) stronger sales and earnings growth, especially in the China market, given their market share gains; (2) the localization story driving stronger sentiment.

Fig. 43: EV/sales vs revenue growth rate of global major equipment vendors

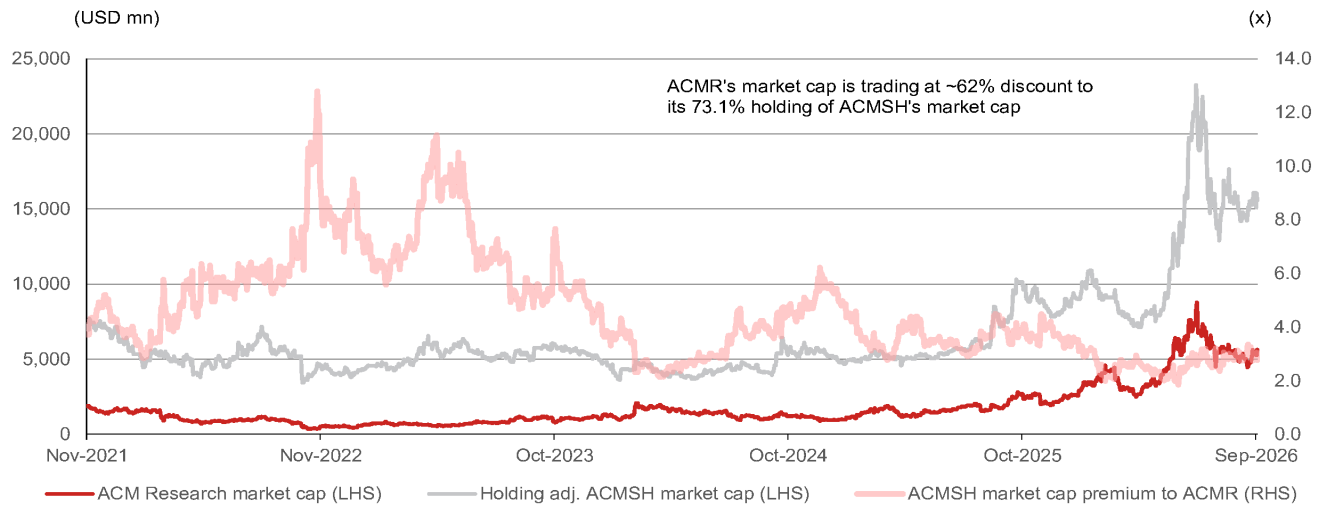


Source: Bloomberg Finance L.P., Nomura estimates

However, ACM Research has been trading at a discount (30-50%) to local peers because of its US NASDAQ listing. We believe ACM Research deserves a higher valuation given that (1) we expect the company's sales growth rate to be higher than the industry average; (2) the company has the top-level cleaning and ECP equipment among domestic vendors, with prominent domestic market shares; and (3) China's memory and advanced process fab capacity expansion, as well as rising demand for advanced packaging, which needs more cleaning and ECP tools.

In addition, compared with its subsidiary, ACM Shanghai (ACMSH, 688082 CH), ACMR has traded at a valuation discount. ACM Shanghai's A-share market cap was ~USD130bn, of which ACMR's 73.1% stake is worth ~CNY95bn, equivalent to ~USD14bn. ACMR's own market cap of ~USD5.4bn therefore covers only ~38% of its stake, implying holding company discount of ~62%.

Fig. 44: ACM Research market cap vs ACMSH market cap (holding adjusted) since ACMSH IPO



Note: ACMSH market cap premium to ACMR defined as ACMSH market cap (holding adjusted) divided by ACMR market cap
Source: Bloomberg Finance L.P., Nomura research

We resume coverage of ACM Research with a **Buy rating**. Our target price of **USD118.00** is based on a target multiple of 6.0x forward EV/sales, and our forecast of USD1.5bn 2027F total revenue.

Fig. 45: ACM Research – Valuation and target price

Valuation table		
Target EV/sales	**6.0 x**	We use 6.0x EV/sales as our target multiple, based on: (1) ACMR is trading at NASDAQ, which results in a valuation discount to peers and its Shanghai subsidiary; (2) EV/sales relavance with sales CAGR and our forecast for revenue; (3) valuation gap between ACMR and its Shanghai subsidiary is narrowing, creating re-rating opportunity for ACMR; (4) we forecast ACMR's sales revenue to outperform the industry growth;
Valuation base	2027F	
Revenue in 2027F (USD mn)	1,490	
Enterprise value (USD mn)	8,890	
Nebt debt in 2027F (USD mn)	(409)	
Minority in 2027F (USD mn)	611	
Equity value (USD mn)	8,688	
Wtd avg diluted shares in 2027F (mn)	74	
Target price (USD)	**118.00**	

Source: Nomura estimates

Financial statements

Fig. 46: ACM Research – Income statement forecasts

FYE 31 Dec (USD mn)	2023	2024	2025	2026F	2027F	2028F	1Q26	2Q26	3Q26F	4Q26F
Income Statement										
Revenue	**558**	**782**	**901**	**1,161**	**1,490**	**1,883**	**231**	**293**	**323**	**314**
COGS	(282)	(391)	(501)	(631)	(792)	(984)	(124)	(158)	(176)	(173)
Gross profit	**276**	**392**	**400**	**531**	**698**	**899**	**107**	**135**	**147**	**141**
Opex	(180)	(241)	(291)	(358)	(457)	(572)	(71)	(85)	(102)	(101)
S&M expense	(47)	(65)	(77)	(99)	(126)	(158)	(21)	(24)	(27)	(27)
R&D expense	(93)	(105)	(145)	(186)	(237)	(297)	(37)	(42)	(53)	(54)
Admin expense	(41)	(70)	(69)	(74)	(94)	(117)	(14)	(19)	(21)	(20)
Other op expenses	-	-	-	-	-	-	-	-	-	-
Operating profit	**96**	**151**	**109**	**172**	**241**	**326**	**36**	**50**	**46**	**41**
Interest income	8	10	15	25	25	25	5	7	7	7
Interest expense	(3)	(4)	(7)	(8)	(8)	(8)	(2)	(2)	(2)	(2)
Investment income	6	3	18	80	50	45	(1)	70	6	6
Equity method investment income	10	0	10	40	45	50	2	21	9	9
Other expenses, net	(2)	6	(10)	(30)	(20)	(20)	(9)	(10)	(5)	(5)
Pretax income	**116**	**166**	**135**	**279**	**333**	**418**	**30**	**136**	**59**	**54**
Income tax	(19)	(35)	(13)	(42)	(53)	(67)	(4)	(13)	(9)	(16)
Minority interests	(20)	(28)	(28)	(70)	(75)	(80)	(9)	(33)	(14)	(14)
Net profit (attr. to SH)	**77**	**104**	**94**	**167**	**205**	**271**	**17**	**89**	**36**	**25**
Basic EPS (CNY)	1.29	1.67	1.47	2.45	2.94	3.90	0.26	1.31	0.52	0.35
Diluted EPS (CNY)	**1.19**	**1.56**	**1.40**	**2.32**	**2.78**	**3.69**	**0.25**	**1.24**	**0.49**	**0.33**
Non-GAAP net profit (attr. to SH)	**107**	**152**	**110**	**150**	**231**	**297**	**24**	**45**	**47**	**35**
Non-GAAP FD EPS (CNY)	**1.66**	**2.30**	**1.64**	**2.08**	**3.13**	**4.04**	**0.35**	**0.62**	**0.63**	**0.47**
YoY Growth (%)										
Revenue	*43.4*	*40.2*	*15.2*	*28.9*	*28.3*	*26.3*	*34.2*	*36.0*	*20.1*	*28.5*
Gross profit	*50.4*	*41.8*	*2.2*	*32.6*	*31.5*	*28.8*	*29.9*	*28.9*	*30.2*	*41.4*
Operating profit (core)	*62.3*	*57.6*	*(27.5)*	*57.4*	*40.0*	*35.4*	*40.3*	*56.9*	*57.6*	*76.8*
Net profit (attr. to SH)	*97.0*	*34.0*	*(9.2)*	*77.9*	*22.4*	*32.5*	*(15.1)*	*199.0*	*1.4*	*206.3*
Diluted EPS	*98.4*	*31.2*	*(10.7)*	*65.8*	*20.0*	*32.5*	*(18.5)*	*180.8*	*(5.8)*	*180.0*
Non-GAAP net profit (attr. to SH)	*95.9*	*41.7*	*(27.6)*	*36.4*	*53.5*	*28.9*	*(22.2)*	*19.3*	*88.0*	*107.5*
Non-GAAP FD EPS	*97.3*	*38.8*	*(28.8)*	*27.1*	*50.6*	*28.9*	*(25.3)*	*12.0*	*74.6*	*89.6*
Margins (%)										
Gross margin	49.5	50.1	44.4	45.7	46.8	47.7	46.4	46.0	45.6	45.0
Opex	32.3	30.8	32.2	30.9	30.7	30.4	30.7	29.0	31.5	32.0
Operating margin (core)	17.2	19.3	12.1	14.8	16.2	17.3	15.6	17.0	14.1	13.0
Pretax margin	20.8	21.3	15.0	24.0	22.3	22.2	13.0	46.3	18.3	17.3
Net margin	13.9	13.2	10.4	14.4	13.7	14.4	7.5	30.4	11.3	7.8
Non-GAAP net margin	19.3	19.5	12.2	12.9	15.5	15.8	10.5	15.2	14.4	11.1
Segment revenue										
Cleaning	**404**	**579**	**626**	**571**	**596**	**621**	**122**	**133**	**160**	**156**
YoY Growth (%)	*48.0*	*43.3*	*8.1*	*(8.7)*	*4.4*	*4.1*	*(5.5)*	*(14.2)*	*(12.0)*	*(2.3)*
Percentage of total (%)	72	74	69	49	40	33	53	45	49	50
ECP, furnace, and others	**103**	**151**	**200**	**467**	**712**	**1,005**	**84**	**129**	**129**	**125**
YoY Growth (%)	*33.4*	*46.2*	*32.1*	*134.0*	*52.4*	*41.1*	*204.9*	*167.7*	*115.0*	*95.8*
Percentage of total (%)	19	19	22	40	48	53	36	44	40	40
Advanced packaging, services, spare	**51**	**52**	**76**	**123**	**182**	**258**	**25**	**31**	**35**	**33**
YoY Growth (%)	*31.5*	*3.3*	*45.3*	*62.5*	*48.0*	*41.3*	*62.0*	*153.3*	*25.0*	*58.8*
Percentage of total (%)	9	7	8	11	12	14	11	11	11	10

Source: Company data, Nomura estimates

Fig. 47: ACM Research – Balance sheet forecasts

FYE 31 Dec (CNY m)	2023	2024	2025	2026F	2027F	2028F
Cash and cash equivalent	182	407	757	732	674	713
Restricted cash	1	4	9	21	23	25
S/T time deposits	81	17	367	403	423	445
S/T investments	21	19	36	107	113	118
Account receivable, net	283	387	504	609	779	872
Other receivables	40	42	49	70	74	77
Inventory, net	545	598	703	853	949	1,127
Prepaid expenses and other current	22	9	13	18	20	22
Current assets	**1,176**	**1,483**	**2,437**	**2,815**	**3,055**	**3,399**
PP&E - net	202	269	315	439	521	567
Right-of-use assets	8	14	18	23	28	33
Intangible assets	3	3	3	4	5	6
L/T investments	28	37	66	106	151	201
Other L/T assets	74	49	34	39	45	52
Total non-current assets	**315**	**372**	**436**	**611**	**750**	**860**
Total assets	**1,491**	**1,856**	**2,872**	**3,427**	**3,805**	**4,259**
S/T Borrowing	31	33	74	74	74	74
Current portion of L/T borrowings	7	44	35	35	35	35
Account payables	142	139	215	251	313	377
Advanced from customers	181	244	188	197	207	217
Deferred revenue	4	9	17	18	19	20
Other payables and accrued expenses	103	122	150	165	182	200
Other current liabilities	33	51	66	70	76	83
Total current liabilities	**501**	**641**	**746**	**812**	**907**	**1,007**
L/T Borrowing	54	106	179	179	179	179
Bonds payable	-	-	-	-	-	-
L/T Lease liabilities	4	4	5	8	9	11
Other non-current liabilities	6	9	12	14	16	17
Total non-current liabilities	**64**	**119**	**196**	**201**	**204**	**207**
Total liabilities	**565**	**760**	**942**	**1,013**	**1,111**	**1,214**
Common stock - Class A	0	0	0	0	0	0
Common stock - Class B	0	0	0	0	0	0
Additional paid-in capital	630	677	1,116	1,362	1,362	1,362
Retained earnings	157	260	350	501	685	930
Statutory surplus reserves	30	31	34	51	71	99
Other capital adjustments	(49)	(63)	(36)	(36)	(36)	(36)
Equity attributable to ACMR	**767**	**905**	**1,464**	**1,878**	**2,083**	**2,354**
Minority interests	159	191	466	536	611	691
Total equity	**926**	**1,096**	**1,931**	**2,414**	**2,694**	**3,045**
Total equity and liabilities	**1,491**	**1,856**	**2,872**	**3,427**	**3,805**	**4,259**

Source: Company data, Nomura estimates

Fig. 48: ACM Research – Cash flow statement forecasts

FYE 31 Dec (USD mn)	2023	2024	2025	2026F	2027F	2028F
Net income	**97**	**131**	**122**	**237**	**280**	**351**
D&A expenses	**8**	**10**	**16**	**24**	**31**	**37**
Depreciation	7	7	14	21	28	33
Amortization	1	3	2	3	3	3
Equity method investment income (-)	(10)	(0)	(10)	(40)	(45)	(50)
Investment gians (-)	(6)	(3)	(18)	(80)	(50)	(45)
Inventory provision	3	14	15	20	20	20
Deferred income taxes	(14)	5	(14)	(4)	(5)	(6)
Share-based compensation	27	50	34	35	35	35
Account receivables - decrease	(109)	(123)	(116)	(105)	(169)	(93)
Inventory - decrease	(164)	(64)	(108)	(150)	(96)	(178)
Account payables - increase	42	1	68	36	62	64
Advances from customers - increase	30	67	(61)	9	10	10
Others	20	65	62	(59)	(35)	(33)
Net cash flows from operating activities	**(75)**	**152**	**(10)**	**(78)**	**37**	**112**
Capex - total	**(64)**	**(86)**	**(58)**	**(149)**	**(114)**	**(84)**
Purchase of PP&E	(62)	(82)	(56)	(145)	(110)	(80)
Purchase of Intangible assets	(2)	(3)	(1)	(4)	(4)	(4)
investments related - net	4	(18)	2	8	45	39
Time deposits related	30	67	(61)	(37)	(20)	(21)
Others	24	25	(273)	(6)	(6)	(6)
Net cash flows from Investing activities	**(7)**	**(12)**	**(390)**	**(183)**	**(96)**	**(72)**
Share issuance	-	-	-	-	-	-
Debt raised (repaid)	16	88	99	-	-	-
Sales (repurchase) of ACMSH shares	-	-	(7)	110	-	-
Proceeds from exersice of stock options	6	11	35	50	50	50
Dividend paid, ACMR	-	-	-	-	-	-
Repurchase	-	-	-	-	-	-
Others	(4)	(7)	616	89	(49)	(48)
Net cash flows from financing activities	**19**	**92**	**742**	**249**	**1**	**2**
Effect of FX	(2)	(5)	13	-	-	-
Net cash flows	**(65)**	**228**	**355**	**(12)**	**(57)**	**41**
Cash, equivalents, restricted cash - beg	248	183	411	766	754	697
Cash, equivalents, restricted cash - end	**183**	**411**	**766**	**754**	**697**	**738**
Free cash flow (FCF)	**(140)**	**67**	**(68)**	**(227)**	**(77)**	**28**

Source: Company data, Nomura estimates

Key risks

China concentration. Over 99% of 2025 revenue is from China. Export-control escalation is a double-edged knife: it accelerates domestic localization (demand-positive) but can constrain component/tool supply (supply-negative), particularly for advanced logic nodes.

Cleaning softness and the intensity. Cleaning revenue fell ~10% y-y in 1H26 after the 2025 SPM batch issues. A recovery depends on SPM repeat orders and 2H26 acceptance timing. Cleaning market competition may heat up, which could potentially hurt ASP and margin.

China WFE market growth and memory capex timing. Most of the revenue is currently coming from Chinese fabs and memory makers' capacity expansion. If Chinese memory makers' capex or Chinese foundry capex pauses rather than steps up, a memory backlog will become a liability for most equipment suppliers. Furthermore, stricter sanctions from the US may further slow down the pace of capacity expansion in China, which could negatively impact the sales outlooks of equipment vendors.

Restrictions from US control could impact overseas expansion. Despite lower than 1% revenue contribution from overseas, markets outside China are still included in the long-term target, with a target overseas market share of 10%. But if US restricts foundries or IDMs from doing business with Chinese players, it could impact the company's overseas expansion plan.

Technology strength and R&D. Leading-edge deposition demands high performance in uniformity and precision, which requires a significant amount of R&D expenditure to maintain strength and keep the moats. Failure to do so could potentially cause market share loss and margin contraction.

New-platform execution. Track, PECVD and PLP remain in qualification. Target SAM and long-term revenue will highly depend on the new product execution and qualification.

Hold discount and dilution. Ownership of ACMSH has been diluted from 100% (2019) to 73.12% (2026), an H-share issuance plan of ACMSH (~10-15% of expanded capital) would dilute it further.

Appendix A-1

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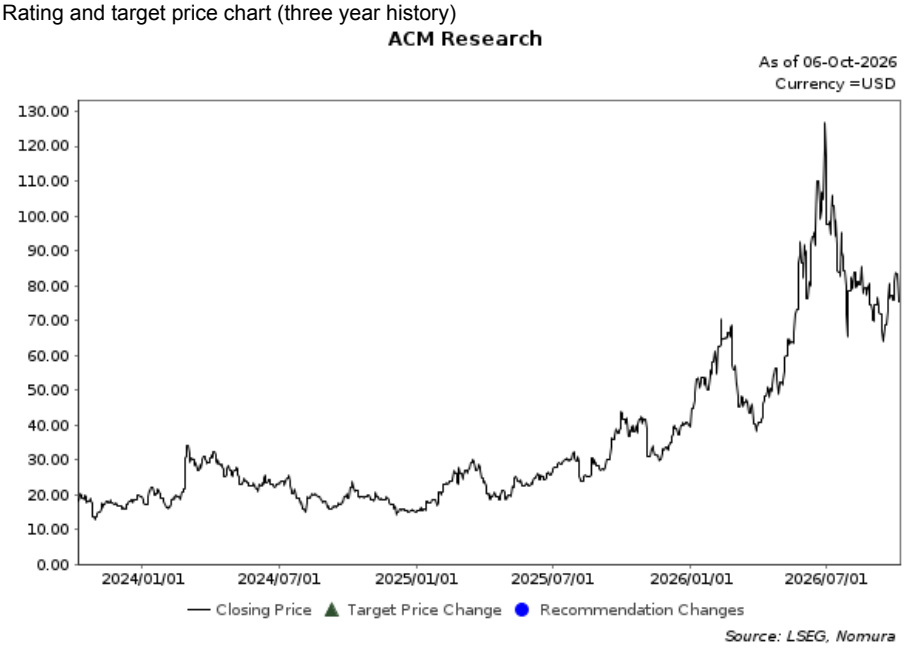
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
ACM Research	ACMR US	USD 80.92	30-Sep-2026	Buy	N/A	

ACM Research (ACMR US) **USD 80.92 (30-Sep-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of USD118.00 is based on 6.0x forward EV/Sales multiple, and our 2027F revenue forecasts. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referrible. The benchmark index is the Nasdaq.
Risks that may impede the achievement of the target price Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for ACM Research; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

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